
CHAPTER 72

An Act to provide for the establishment of an Iron and Steel Corporation of Great Britain and for defining their functions, and for the transfer to that Corporation of the securities of certain companies engaged in the working, getting and smelting of iron ore, the production of steel, and the shaping of steel by rolling, and of certain property and rights held by a Minister of the Crown or Government department; for the licensing of persons engaged in any such activities; for co-ordinating the activities of the Corporation, the National Coal Board and the Area Gas Boards relating to carbonisation; and for purposes connected with the matters aforesaid.

[24th November 1949.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same as follows:—

PART I.

THE IRON AND STEEL CORPORATION OF GREAT BRITAIN.

The Iron and Steel Corporation of Great Britain.

1.—(1) For the purposes of this Act, there shall be a public authority to be called the Iron and Steel Corporation of Great Britain (in this Act referred to as " the Corporation ").

(2) The Corporation shall consist of a chairman and not less than six nor more than ten other members, and the chairman and all other members shall be appointed by the Minister from amongst persons appearing to him to be persons who have had wide experience of, and shown capacity in, the

PART I. —*cont.* production of iron ore or iron or steel, industrial, commercial or financial matters, administration or the organisation of workers.

(3) The Minister shall not appoint any member of the Corporation before the first day of October, nineteen hundred and fifty.

(4) Every member of the Corporation shall hold and vacate his office in accordance with the terms of his appointment and shall, on ceasing to be a member, be eligible for re-appointment:

Provided that any member may at any time by notice in writing to the Minister resign his office.

(5) A person shall be disqualified for being appointed or being a member of the Corporation so long as he is a member of the Commons House of Parliament.

(6) Before appointing a person to be a member of the Corporation, the Minister shall satisfy himself that that person will have no such financial or other interest as is likely to affect prejudicially the exercise or performance by him of his functions as a member of the Corporation and the Minister shall also satisfy himself from time to time with respect to every member of the Corporation that he has no such interest; and any person who is, or whom the Minister proposes to appoint and who has consented to be, a member of the Corporation shall, whenever requested by the Minister so to do, furnish to him such information as the Minister considers necessary for the performance by the Minister of his duties under this subsection.

(7) A member of the Corporation who is in any way directly or indirectly interested in a contract made or proposed to be made by the Corporation, or in any contract made or proposed to be made by a subsidiary of the Corporation which is brought up for consideration by the Corporation, shall, as soon as possible after the relevant circumstances have come to his knowledge, disclose the nature of his interest at a meeting of the Corporation; and the disclosure shall be recorded in the minutes of the Corporation, and the member shall not take any part after the disclosure in any deliberation or decision of the Corporation with respect to that contract.

(8) The Minister may appoint one or more members of the Corporation to be deputy chairman or deputy chairmen of the Corporation.

(9) The Corporation—

(*a*) shall pay to their members such remuneration (whether by way of salaries or fees) and such allowances as the Minister may, with the approval of the Treasury, determine; and

(b) on the retirement or death of any of their members as to whom the Minister may, with the approval of the Treasury, determine that such provision should be made, shall pay to or in respect of them such pensions as he may so determine.

PART I.—cont

(10) The Minister shall, as soon as possible after the passing of this Act, lay before each House of Parliament a statement of the remuneration and allowances that are or will be payable under the last preceding subsection to the members of the Corporation, and, if any subsequent determination by him under the last preceding subsection involves any departure from the terms of the said statement, or if a determination by him under that subsection provides for the payment of a pension to or in respect of any member of the Corporation, the Minister shall as soon as possible after the determination lay a statement thereof before each House of Parliament.

(11) The provisions of the First Schedule to this Act shall have effect with respect to the Corporation.

Powers of the Corporation.

2.—(1) Subject to the provisions of this Act, the Corporation shall have power—

(a) to hold such interests in companies as vest in them under Part II of this Act, and to acquire by agreement and to hold interests in any company whose activities, including the activities of any subsidiary of the company, consist wholly or mainly of activities which any publicly-owned company (as defined in section fifty-nine of this Act) is immediately before the acquisition authorised by its memorandum of association or, as the case may be, by its charter of incorporation or other charter, to carry on;

(b) to form, or take part in forming, any company for the purpose of the carrying on by the company of any activities which any publicly-owned company is immediately before the formation of the new company so authorised to carry on, or of the exercise by the new company of any powers conferred on the Corporation by the following provisions of this section, or of the acquisition and holding by the new company of such interests in other companies as the Corporation have power to acquire and hold; and

(c) to exercise all rights conferred by the holding of interests in companies:

Provided that—

(i) the Corporation shall not, without the consent in writing of the Minister, exercise their powers under this subsection so as to bring any company into public

PART I. —*cont.*

ownership or form a publicly-owned company, if the consequence thereof would be to increase the sum of the activities which the publicly-owned companies are authorised as aforesaid to carry on;

(ii) nothing in this subsection shall prejudice the powers of investment conferred on the Corporation by Part IV of this Act.

(2) The Corporation shall have power—

(*a*) to conduct research into any matters affecting the activities which any publicly-owned company is for the time being authorised as aforesaid to carry on, and to assist other persons conducting such research;

(*b*) to provide for the publicly-owned companies, or for any group of such companies, any services which in the opinion of the Corporation can conveniently be provided as common services for those companies or that group thereof.

(3) The Corporation shall have power, with the consent in writing of the Minister, to carry on any other activities which, at the time when the consent is given, any publicly-owned company is authorised as aforesaid to carry on.

(4) The Corporation shall have power to do any thing or to enter into any transaction (whether or not involving the expenditure, the borrowing in accordance with the provisions of this Act or the lending of money, the acquisition of any property or rights or the disposal of any property or rights) which in their opinion is calculated to facilitate the proper carrying on of their activities or the proper exercise of their powers under the preceding provisions of this section.

(5) Any reference in this section to interests in a company includes a reference to rights in respect of money lent to the company or guarantees given for the benefit of the company.

(6) For the avoidance of doubt it is hereby declared that the preceding provisions of this section relate only to the capacity of the Corporation as a statutory corporation, and nothing in the said provisions shall be construed as authorising the disregard by the Corporation of any enactment or rule of law.

General duty of the Corporation.

3.—(1) It shall be the general duty of the Corporation so to exercise their powers as—

(*a*) to promote the efficient and economical supply of the products of the activities specified in the first column of the Second Schedule to this Act, and to secure that those products are available in such quantities, and are of such types, qualities and sizes, and are

PART I. —*cont.*

available at such prices, as may seem to the Corporation best calculated to satisfy the reasonable demands of the persons who use those products for manufacturing purposes and to further the public interest in all respects ;

(*b*) to secure that neither the Corporation nor any publicly-owned company shall show undue preference to, or exercise unfair discrimination against, any such persons or any class thereof in the supply and price of those products, but without prejudice to such variations in the terms and conditions on which those products are supplied as may arise from ordinary commercial considerations or from the public interest; and

(*c*) to secure the largest degree of decentralisation consistent with the proper discharge by the Corporation of their duties under the preceding provisions of this section and under any other provision of this Act.

(2) Nothing in this section shall be construed as imposing on the Corporation, either directly or indirectly, any form of duty or liability enforceable by proceedings before any court.

Powers of the Minister in relation to the Corporation.

4.—(1) The Minister may, after consultation with the Corporation, give to the Corporation directions of a general character as to the exercise and performance by the Corporation of their functions (including the exercise of rights conferred by the holding of interests in companies) in relation to matters which appear to him to affect the national interest, and the Corporation shall give effect to any such directions.

(2) In carrying out any such measure of reorganisation or any such work of development as involves substantial outlay on capital account, and in securing the carrying out by publicly-owned companies of any such measure or work, the Corporation shall act in accordance with a general programme settled from time to time with the approval of the Minister.

(3) In making or securing provision for the training and education of persons employed by the Corporation or any publicly-owned company, and for research, the Corporation shall act in accordance with a general programme settled as aforesaid.

(4) Without prejudice to the preceding provisions of this section, the Minister may, after consultation with the Corporation, direct the Corporation—

(*a*) to discontinue or restrict any of their activities or to dispose of any part of their assets; or

(*b*) to secure the discontinuance or restriction of any of the activities of a publicly-owned company, or the

PART I. —*cont.*

disposal of the whole or any part of the assets of any such company, or the winding up of any such company;

and the Corporation shall give effect to any such direction:

Provided that—

(i) the Minister shall not give any direction under this subsection unless he is satisfied that it can be given effect to without prejudice to the proper discharge of the duties of the Corporation under this Act; and

(ii) after the expiration of five years from the general date of transfer, a direction under this subsection shall only be given by order.

(5) The Corporation shall furnish the Minister with such returns, accounts and other information with respect to their property and activities, and the property and activities of the publicly-owned companies, as he may from time to time require.

(6) Without prejudice to the provisions of the last preceding subsection, the Corporation shall, as soon as possible after the end of each financial year of the Corporation, make to the Minister a report on the exercise and performance by the Corporation of their functions during that year and on their policy and programme, and the report shall include a general account of the activities of the publicly-owned companies, and the Minister shall lay a copy of every such report before each House of Parliament.

(7) The report made under the last preceding subsection for any year shall set out any direction given by the Minister to the Corporation during that year unless the Minister has notified to the Corporation his opinion that it is against the interests of national security to do so or the Minister accepts the contention of the Corporation that it is contrary to the commercial interests of the Corporation to do so.

Subsidy in respect of imported materials.

5. Where the Corporation have acquired, with the general or special approval of the Minister, any imported materials for the purpose of the carrying on by them or any other person of any of the activities specified in the first column of the Second Schedule to this Act, or any imported iron or steel in any form, and the total cost of such imported materials or iron or steel, including any expenses incurred in or in connection with the transport thereof and any import duty payable thereon, exceeds the price at which any such imported materials or iron or steel are sold in Great Britain by the Corporation, the Minister may, with the approval of the Treasury, pay to the Corporation out of moneys provided by Parliament an amount not exceeding the difference between the cost and the price aforesaid.

PART I. —*cont.*

Appointment of Consumers' Council and committees.

6.—(1) A Council, to be known as the Iron and Steel Consumers' Council and hereafter in this section referred to as "the Council," shall, not later than six months after the general date of transfer, be established for the purposes mentioned in this section.

(2) The Council shall consist of—

(*a*) an independent chairman appointed by the Minister;

(*b*) not less than fifteen nor more than thirty other persons appointed by the Minister, after consultation with such bodies (which may include organisations representing workers) as he thinks fit, to represent the interests of persons (hereafter in this section referred to as "the consumers") who are consumers of the products of any of the principal activities of the Corporation and the publicly-owned companies; and

(*c*) two members of the Corporation nominated by the Corporation.

(3) A person shall be disqualified for being appointed or being the chairman of the Council so long as he is a member of the Commons House of Parliament, but a member of the Council other than the chairman and a member of any committee appointed by the Council under this section shall not by reason of his appointment as such a member be disqualified for being elected to, or for sitting or voting as a member of, the Commons House of Parliament.

(4) The Council shall be charged with the duties—

(*a*) of considering any matter affecting the interests of the consumers (including prices), being a matter which is the subject of a representation made to them by any of the consumers or which appears to the Council to be a matter to which consideration ought to be given apart from any such representation, and, where action appears to them to be requisite as to any such matter, of notifying their conclusions to the Corporation;

(*b*) of considering and reporting to the Minister or the Corporation on any matter referred to the Council by the Minister or the Corporation;

(*c*) of considering and making recommendations to the Minister with respect to any representations which may be made to them by any person who has applied for a licence required under section twenty-nine of this Act in regard to such application; and

(*d*) of making representations to the Minister on such matters affecting the interests of the consumers as the Council think necessary.

PART I. —*cont.*

(5) The Council shall send to the Minister copies of any conclusion notified or report made to the Corporation, and shall send to the Corporation copies of any report or representation made to the Minister.

(6) The Minister may give directions to the Corporation on any matter arising out of any conclusion, report or representation made to him or to the Corporation by the Council, and shall inform the Council of any directions so given, and the Corporation shall give effect to any such directions.

(7) The chairman of the Council shall, on a request made by not less than six members other than members nominated by the Corporation, call a meeting at which the members nominated by the Corporation shall not be entitled to be present, but no report or representation in respect of the matters discussed at any such meeting shall be made to the Minister, unless the decision to do so has been approved at a meeting of the Council at which the members nominated by the Corporation were entitled to be present.

(8) The Council may, with the approval of the Minister, appoint committees, consisting wholly or partly of persons who are not members of the Council, to consider and report to the Council upon matters affecting the interests of particular classes of the consumers, whether defined by reference to locality, the products concerned or otherwise, and the Council shall, before appointing the members of any such committee, consult with such organisations representing the consumers concerned and their workers as the Minister may determine.

(9) The Council may appoint committees, consisting wholly of members of the Council, to consider and report to the Council on any matter referred to them by the Council.

(10) The Council shall, with the approval of the Minister, make rules with respect to the quorum, proceedings, meetings and determinations of the Council and any committee appointed by the Council, and copies of the minutes of the proceedings of the Council, except proceedings at meetings called under subsection (7) of this section, and of the proceedings of every such committee shall be sent to the Corporation.

(11) The Council may, subject to the approval of the Minister as to numbers, appoint such officers as appear to the Council to be requisite for the proper exercise and performance of their functions (including the functions of any committee appointed by the Council).

(12) The Corporation shall pay to the members of the Council or of any such committee such allowances in respect of any loss of remunerative time and such travelling

allowances and allowances in respect of their out-of-pocket expenses, and to the officers of the Council such remuneration (whether by way of salary or fees) and such allowances, as the Minister may with the approval of the Treasury determine, and may pay to the chairman of the Council such remuneration (whether by way of salary or fees) as the Minister may with such approval determine, and shall pay such expenses incurred by the Council or any such committee as the Minister may with such approval determine.

(13) Every member of the Council and of every committee appointed by the Council shall hold and vacate his office in accordance with the terms of his appointment.

(14) The Council shall be furnished by the Corporation with such office accommodation as appears to the Corporation to be requisite for the proper exercise and performance of their functions (including the functions of any such committee as aforesaid) or as may be directed by the Minister.

(15) The Council shall, as respects each financial year of the Corporation, make to the Minister a report on the exercise and performance by the Council and the committees appointed by them of their functions during that year, and the Minister shall lay a copy of every such report before each House of Parliament.

(16) The Minister may, after consultation with the Council and the Corporation, by regulations make such modifications of the preceding provisions of this section as may appear to him to be desirable for the purpose of securing more effective machinery for the safeguarding of the interests of the consumers.

Compulsory purchase of land.

7.—(1) The Minister may authorise the Corporation to purchase compulsorily any land required for the exercise and performance of their functions or the carrying on of any activity by a publicly-owned company, and the Acquisition of Land (Authorisation Procedure) Act, 1946 (except section two thereof) shall apply as if the Corporation were a local authority within the meaning of that Act and as if this Act had been in force immediately before the commencement of that Act:

Provided that the Minister shall not authorise under this section the acquisition by the Corporation for the purpose of the carrying on of any activity by them or any publicly-owned company of land which is being used wholly or mainly by any other person for the purpose of carrying on that activity or for purposes incidental to the carrying on of that activity.

PART I. —*cont.*

(2) Paragraph (*b*) of subsection (2) of section five of the Town and Country Planning Act, 1947 (which enables land to be designated in a development plan as land subject to compulsory acquisition by any Minister, local authority or statutory undertakers) and section nine of that Act (which provides that in certain circumstances such land may cease to be so designated) shall have effect as if the references therein to any Minister, local authority or statutory undertakers included references to the Corporation and as if, in the said section nine, the words " who could be authorised to acquire it compulsorily under the provisions of this Act " were deemed not to apply to the Corporation.

(3) For the avoidance of doubt it is hereby declared that the Corporation are a public authority within the meaning of the Acquisition of Land (Assessment of Compensation) Act, 1919.

Power of Corporation to promote and oppose Bills.

8. The Corporation may, with the consent of the Minister, promote Bills in Parliament and may, without any such consent, oppose any Bill in Parliament.

Corporation not to be exempt from taxation, etc.

9. Nothing in this Act shall be deemed to exempt the Corporation from liability for any tax, duty, rate, levy or other charge whatsoever, whether general or local.

Liability of Corporation in actions, etc.

10.—(1) The Public Authorities Protection Act, 1893, and section twenty-one of the Limitation Act, 1939, shall not apply to any action, prosecution or proceeding against the Corporation, or for or in respect of any act, neglect or default done or committed by a servant or agent of the Corporation in his capacity as a servant or agent of theirs.

(2) In their application to any action against the Corporation sections two and three of the Limitation Act, 1939 (which relate to the limitation of actions of contract and tort, and certain other matters) shall have effect with the substitution for references therein to six years of references to three years.

PART II.

ACQUISITION OF SECURITIES OF CERTAIN IRON AND STEEL UNDERTAKINGS AND CERTAIN OTHER ASSETS.

Acquisition of securities.

Transfer to Corporation of securities of scheduled companies.

11.—(1) Subject to the provisions of this Part of this Act, all securities of the companies specified in the Third Schedule to this Act shall, on the first day of January, nineteen hundred and fifty-one, or such date later, but not more than twelve

PART II. —*cont.*

months later, than the date aforesaid, as the Minister may by order substitute for the date aforesaid, vest in the Corporation by virtue of this Act, free of all trusts and encumbrances:

Provided that—

(*a*) the Minister may, after consultation with the Corporation, on a recommendation by any company specified in the said Third Schedule to the effect that the vesting of the securities of that company under this section ought to be postponed to a later date specified in the recommendation, by order direct that this section shall have effect accordingly ;

(*b*) this section shall not apply to securities the whole of the beneficial interest in which is, immediately before the date of transfer, held by any company which is publicly-owned or will come into public ownership on that date;

(*c*) this section shall not apply to securities created by any company specified in the said Third Schedule as collateral security for a loan to that company, and any such securities shall be cancelled as from the date of transfer.

(2) References in this Act to " the date of transfer " shall be construed—

(*a*) in relation to any company whose securities vest in the Corporation by virtue of this Act, as referring to the date on which those securities so vest; and

(*b*) in relation to any other company which comes into public ownership under this Part of this Act, as referring to the date on which that company comes into public ownership;

and references to " the general date of transfer " shall be construed as referring to the said first day of January, nineteen hundred and fifty-one, or the date substituted for that date by order of the Minister under the preceding subsection.

(3) The companies specified in the Third Schedule to this Act are, subject as hereinafter provided, those which in the Minister's opinion fulfil the conditions set out in one or other of the following paragraphs, namely—

(*a*) that the company, on the twenty-ninth day of October, nineteen hundred and forty-eight, was carrying on one or more of the activities specified in the first column of the Second Schedule to this Act and was operating works which produced during the years nineteen hundred and forty-six and nineteen hundred and forty-seven an average annual output of the products of any one of the said activities

PART II. —*cont.*

not less than the quantity specified in the second column of the said Schedule in relation to that activity; or

(*b*) that the company, being a subsidiary or holding company of a company which fulfils the condition set out in the preceding paragraph, owned on the said day the whole, or a substantial or essential part, of such works as aforesaid which the last-mentioned company was then operating:

Provided that the said Third Schedule does not include any company whose main activity on the said day consisted of the manufacture of motor vehicles or any company in whose case—

(i) the average annual output during the said years of the products of each of the said activities carried on by the company on the said day, being the output of works operated by the company on the said day, was less than fifty thousand tons; and

(ii) the total number of persons employed by the company on the said day wholly or mainly for the purposes of the said activities was not more than fifteen per cent. of the total number of persons employed by the company on that day, no account being taken in either case of persons wholly or mainly employed in administrative or clerical work or on the provision of services common to the said activities and other activities of the company, including welfare and recreational services.

(4) For the purposes of this Act, where any company has at any time changed its name from the name by which it is referred to in the Third Schedule to this Act, the said Schedule shall have effect as if the new name, or any subsequent name, were substituted for the name set out in the said Schedule.

Effect of transfer of securities to Corporation.

12. The Corporation shall, in respect of the securities of any company which vest in them by virtue of this Act, be entitled or subject, as from the date of transfer, to the exclusion of the previous holders thereof, to all the rights, privileges and advantages, and all the liabilities and obligations, arising from the holding of those securities, in all respects as if the securities had been duly transferred to the Corporation in accordance with the enactments and rules of law (other than this Act) applicable thereto and everything necessary to make those rights, privileges, advantages, liabilities and obligations, fully effective had been duly done; and, without prejudice to the preceding provisions of this section, all persons concerned with the keeping of the register of the holders of any such securities shall forthwith register the Corporation therein and the company shall forthwith issue to the Corporation the appropriate documents of title relating to the securities of the company vesting in them as aforesaid.

Part II. —*cont.*

Disclaimer of agreements and leases.

13.—(1) Where any company which comes into public ownership under this Part of this Act has made or varied an agreement or lease on or after the twenty-first day of October, nineteen hundred and forty-seven, and before the date of transfer, and the agreement or lease remains unperformed or unexpired, in whole or in part, on the date of transfer, and the Corporation are of the opinion that the making or variation of that agreement or lease was not reasonably necessary for the purposes of the activities of the company, or that the agreement or lease was made or varied with an unreasonable lack of prudence on the part of the company, regard being had in either case to the circumstances at the time, the company shall, if so directed by the Corporation, by notice in writing given to the other parties to the agreement or lease at any time within six months after the date of transfer, disclaim the agreement or lease:

Provided that any of the said other parties may, within two months after the date on which the notice is served, refer to arbitration under this Act the question whether or not the agreement or lease ought to be disclaimed under this section, and the Corporation (as well as the publicly-owned company) shall be made a party to the arbitration.

(2) If the arbitration tribunal are satisfied on any such reference that the making or variation of the agreement or lease was not reasonably necessary for the purposes of the activities of the company, or that the agreement or lease was made or varied with an unreasonable lack of prudence on the part of the company, regard being had in either case to the circumstances at the time, the tribunal shall confirm the notice and if not so satisfied shall revoke it:

Provided that, if the arbitration tribunal are satisfied of the matters aforesaid but are also satisfied that the making or variation of the agreement or lease was a proper transaction made in the ordinary course of business, regard being had to the circumstances at the time, and was in no way connected with any provision made by this Act or with any anticipation of the making of any such provision, the tribunal shall revoke the notice.

(3) Where a notice is so given by a company with respect to any agreement or lease and is not revoked by the arbitration tribunal, the agreement shall be deemed to be frustrated

PART II. —*cont.*

or, as the case may be, the lease shall be deemed to be surrendered, on the date on which the notice of disclaimer becomes final, and the parties thereto for that reason to be discharged from the further performance of their obligations thereunder.

(4) Where an agreement is deemed to be frustrated as aforesaid, subsection (3) of section two of the Law Reform (Frustrated Contracts) Act, 1943 (which requires the court to give effect to any provision of a contract intended to operate on or notwithstanding the frustration of the contract), shall not apply to that agreement.

(5) Where a reference to arbitration is made under this section with respect to a notice of disclaimer and the notice is confirmed, the arbitration tribunal shall have exclusive jurisdiction to determine claims arising under the agreement or lease in question with respect to the period before the frustration or surrender and (in the case of an agreement) any claims arising under the Law Reform (Frustrated Contracts) Act, 1943, and the tribunal may, in the case of a lease, on the application of either party thereto, make such modifications (if any) of the provisions of the lease relating to repairing obligations or any other provisions taking effect on or within a limited time before the determination of the lease as they think just.

(6) For the purposes of this section, a notice of disclaimer which is not revoked shall be deemed to become final on the following date, that is to say—

(*a*) if no reference to arbitration is made under subsection (1) of this section, the date on which the period for making such a reference expires;

(*b*) in any other case, the date on which the notice is confirmed by the arbitration tribunal.

(7) This section shall not apply to any agreement or lease the making or variation of which has been approved in writing by the Minister for the purposes of this section, either generally or specially, and whether before or after the date of the making or variation of the agreement or lease.

Effect of Act on certain loan and other agreements.

14.—(1) Any agreement in force immediately before the passing of this Act which—

(*a*) provides for the lending of money to any company specified in the Third Schedule ; and

(*b*) contains any provision conferring a right to require the issue of, or to subscribe for or purchase or otherwise acquire, any securities of the company, or a right to appoint any person to, or to hold, the office of director of the company, or contains any other provision which will or may be determined or become impossible of performance under or by virtue of any provision of this Act ;

shall, notwithstanding that it contains any such provision as is referred to in paragraph (*b*) hereof, continue in force and have full effect during the period before the date of transfer, and any such agreement is hereafter in this section referred to as a " loan agreement."

(2) Every loan agreement shall cease to have effect as from the date of transfer, and the following provisions shall, subject to any agreement made after the passing of this Act by the parties to the loan agreement, have effect:—

(*a*) the amount outstanding in respect of the sums lent under the loan agreement shall be repayable by the company at the time and in the manner provided in the loan agreement:

Provided that either party to that agreement may, at any time not less than twelve months after the date of transfer, if the said amount has not been repaid and is not repayable within the next six months, give notice in writing to the other party to the effect that the said amount will be repaid six months after the service of the notice, and the said amount shall be repaid accordingly ;

(*b*) interest shall be payable by the company on the said amount until repayment, at the rate and at the times provided in the loan agreement ; and

(*c*) any amount outstanding in respect of sums payable under the loan agreement by the company by way of engagement fees shall be paid by the company at the times and in the manner provided in the loan agreement.

(3) Any agreement, other than a loan agreement, between a company which comes into public ownership under this Part of this Act and any other person shall, in so far as it confers a right to require the issue of, or to subscribe for or purchase or otherwise acquire, any securities of the company, or a right to appoint any person to, or to hold, the office of director of the company, cease to have effect as from the date of transfer.

(4) Where any person, other than a publicly-owned company, suffers loss by reason of the determination, by virtue of this section or any other provision of this Act, of any such right as is referred to in subsection (1) or subsection (3) of this section, being a right conferred by an agreement made before the twenty-ninth day of October, nineteen hundred and

PART II. —*cont.*

forty-eight, or made on or after the said day with the approval in writing of the Minister, he shall be entitled to claim compensation from the Corporation in respect of that loss ; and any question whether any person has a right to claim such compensation or as to the amount thereof shall, in default of agreement, be determined by arbitration under this Act:

Provided that this subsection shall not apply—

(*a*) to any right conferred by an agreement which could (but for the determination of the right) have been disclaimed under section thirteen of this Act ; or

(*b*) to any right arising from the holding of securities which vest by virtue of this Act or any right which can only be exercised on the redemption of such securities ;

and no claim for compensation under this subsection shall be made more than twelve months after the date of transfer.

Compensation to holders of securities.

15.—(1) Compensation for the vesting of securities by virtue of this Act shall be satisfied by the issue by the Corporation, in accordance with the provisions of the Fourth Schedule to this Act, of such amount of British Iron and Steel Stock as in the opinion of the Treasury is or was at the general date of transfer of a value equal to the value of the securities, regard being had (in estimating the value of the stock so issued) to the market value of government securities at or about that date.

(2) Where securities of any class were quoted in the Stock Exchange Official Daily List on all the dates (other than Saturdays and Sundays) from the first day of October, nineteen hundred and forty-eight, to the twenty-fifth day of October, nineteen hundred and forty-eight, inclusive, and were also quoted in the said list or in the Stock Exchange Daily Supplementary List on any of the following dates, that is to say, the fifteenth day of February, the fifteenth day of March, the sixteenth day of April, the fifteenth day of May, the fifteenth day of June and the sixteenth day of July, nineteen hundred and forty-five, the value of securities of that class for the purposes of this section shall, subject to the provisions of this section, be deemed to be either—

(*a*) the average of the mean of the quotations for securities of that class appearing in the said Stock Exchange Official Daily List on the said dates in the year nineteen hundred and forty-eight, or

(*b*) the average of the mean of the quotations for securities of that class appearing in the said Stock Exchange Official Daily List or the said Stock

Exchange Daily Supplementary List on the said dates in the year nineteen hundred and forty-five on which a quotation therefor so appeared,

whichever is the higher, such addition, if any, being made to the higher average as is necessary to make it a complete multiple of one penny.

(3) Where a new class of securities has been issued on or after the last of the said dates in the year nineteen hundred and forty-five and before the first of the said dates in the year nineteen hundred and forty-eight, and the securities were quoted in the Stock Exchange Official Daily List on all the said dates in the year nineteen hundred and forty-eight, the value of securities of that class for the purposes of this section shall, subject to the provisions of this section, be deemed to be the average of the mean of the quotations for securities of that class appearing in the said list on the said dates in the year nineteen hundred and forty-eight.

(4) Where, in the case of any class of securities to which either of the two last preceding subsections applies, there has been at any time after the last relevant quotation date a fresh issue of securities of that class, the value of every security of that class for the purposes of this section shall, instead of being determined under that subsection, be deemed to be the average of the values of all the securities of that class calculated on the basis that—

(*a*) the value of each of the securities comprised in that issue is the price at which it was issued or, if it was issued free, is nil, and

(*b*) the value of the remaining securities is the value which those securities had or would have had for the purposes of this section immediately before the issue took place.

(5) Where, at any time after the last relevant quotation date any securities to which subsection (2), (3) or (4) of this section applies have been converted into securities of a different nominal value—

(*a*) the value of those securities as so converted shall, for the purposes of this section, be deemed to be a value bearing to the value which the securities had or would have had for the purposes of this section immediately before the conversion took place the same proportion as the nominal value of the securities as converted bears to the nominal value of the securities immediately before the conversion took place; and

PART II. —*cont.*

(*b*) the last preceding subsection shall apply to any fresh issue of securities which have been converted as aforesaid, but if a part only of a class of securities has been converted as aforesaid, the converted securities shall, for the purposes of the last preceding subsection, be treated as securities of a different class from that of the unconverted securities.

(6) Where a new class of securities has been issued on or after the first of the dates in the year nineteen hundred and forty-eight mentioned in subsection (2) of this section, the value of securities of that class for the purposes of this section shall be deemed to be the price at which they were issued, or, if they were issued free, shall be deemed to be nil, and the two last preceding subsections shall apply to any fresh issue or conversion of securities of that class.

(7) If all the securities of any issue were originally disposed of to a person who did not become the registered holder of those securities, the price of issue of each of those securities shall for the purposes of subsection (4) or subsection (6) of this section be deemed to be either—

(*a*) the price paid for that security by the first registered holder thereof; or

(*b*) the price received by the company for the security plus an amount equal to two-and-a-half per cent. of that price;

whichever is the lower.

(8) If any question arises under any of the six last preceding subsections as to the value of any securities, it shall be settled by agreement between the Minister and the stockholders' representative or, in default of such agreement, by arbitration under this Act.

(9) For the purposes of this section, the value of any securities not being securities to which subsection (2), (3), (4), (5) or (6) of this section applies, shall be such value as may be agreed between the Minister and the said stockholders' representative or, in default of such agreement, as may be determined by arbitration under this Act to be the value that the securities would have had under the preceding provisions of this section if they had been quoted in the Stock Exchange Official Daily List on all the dates mentioned in subsection (2) of this section or, in the case of securities of a class issued on or after the earliest of the said dates, on such of those dates as occurred after the date of issue, and the arbitration tribunal, in determining the value that the securities would have had as aforesaid, shall have regard to all relevant factors

including, as far as may be, the value of securities to which subsection (2) or subsection (3) of this section applies (as determined under that subsection), being securities which, as regards all matters affecting their value, are most nearly comparable to the first-named securities:

Provided that, if the arbitration tribunal are satisfied that the company has, on or after the first of the dates mentioned as aforesaid or, as the case may be, the first of those dates occurring after the date of issue of the securities, made a substantial payment or distribution to its members, other than a payment of dividend out of its net revenue for the financial year in respect of which the payment is made, the tribunal, in determining what the quotations in the said list for those securities would have been on any of the said dates occurring before the payment or distribution, shall treat the payment or distribution as having taken place before the said dates and shall accordingly take into account the reduction in the assets of the company that would have resulted therefrom.

(10) In this section—

the expression " convert " means, in relation to any securities, to consolidate and divide those securities into units of larger nominal value or to sub-divide those securities into units of smaller nominal value, without in either case making any change in the aggregate nominal value of the securities affected ;

the expression " the Stock Exchange Official Daily List " means the publication known as the Stock Exchange Daily List of Officially Quoted Securities which is published by and under the authority of the Council of the Stock Exchange, London;

the expression " the Stock Exchange Daily Supplementary List " means the publication known as the Stock Exchange Daily Supplementary List of Securities not Officially Quoted which was published by and under the authority of the Council of the Stock Exchange, London;

the expression " quotation " has the same meaning as in the Stock Exchange Official Daily List or the Stock Exchange Daily Supplementary List, as the case may be, and accordingly does not include the statements of the business that was done;

the expression " the mean of the quotations " means the average of the two figures shown in the Stock Exchange Official Daily List or the Stock Exchange Daily Supplementary List, as the case may be, on the date in question in respect of the security in question under the heading " Quotations " or " Nominal Quotations ";

PART II. —*cont.*

the expression " the last relevant quotation date ", in relation to any securities to which subsection (2), (3), (4) or (5) applies, means the last of the dates mentioned in the said subsection (2) on which a quotation for securities of that class appeared in either of the said lists, being a quotation by reference to which the value of securities of that class is determined for the purposes of this section.

(11) For the purposes of this section and the following provisions of this Part of this Act, the securities of a company to which the same rights attach shall be deemed to constitute a class of securities, and the date of issue of any securities shall be deemed to be the date on which the resolution allotting those securities is made.

Valuation of securities affected by transfer of property from one company to another.

16.—(1) Where a new class of securities has been issued on or after the first of the dates in the year nineteen hundred and forty-eight mentioned in subsection (2) of the last preceding section by a company whose securities vest by virtue of this Act, or a fresh issue of existing securities has been made on or after the first of the said dates by such a company, and the main purpose of the issue was to provide consideration, directly or indirectly, for the transfer or grant of property or rights to the company by which the issue was made (hereinafter referred to as the " transferee " company) by another company or companies whose securities so vest or would so vest but for the transfer or grant (hereinafter referred to as the " transferor " company or companies), then notwithstanding anything in the last preceding section, the following provisions shall apply for the valuation of the securities so issued:—

(*a*) the value of all the securities of the transferor company or companies shall first be agreed or determined for the purposes of the last preceding section in like manner as if the transfer or grant had not taken place, and the aggregate value thereof shall then be apportioned as between the securities of the transferor company or companies and the securities issued as aforesaid in such manner as may be agreed between the Minister and the stockholders' representative or, in default of such agreement, determined by arbitration under this Act to be fair in the circumstances in view of the transfer or grant;

(*b*) the amount apportioned to the securities issued as aforesaid shall be deemed to be the aggregate value of those securities and shall be divided among the individual securities in such manner as may be so agreed or determined to be fair in the circumstances,

PART II. —*cont.*

and the value allocated to each security shall be deemed to be the value of that security for the purposes of the last preceding section or, in the case of securities forming part of a fresh issue by the transferee company of an existing class of securities, shall be deemed to be the price of issue of those securities for the purposes of subsection (4) of that section.

(2) Subsections (4) and (5) of the last preceding section shall apply in relation to a fresh issue of a new class of securities to which subsection (1) of this section applies, and in relation to a conversion of securities of any such class, respectively, in like manner as they apply in relation to a fresh issue and conversion of securities of a class to which subsection (2) or subsection (3) of the last preceding section applies, subject to the modification that for the references to the last relevant quotation date there shall be substituted references to the date of the first issue of securities of that new class.

(3) Any question arising under subsection (1) of this section for the determination of which no express provision is made shall be settled by agreement between the Minister and the stockholders' representative or, in default of such agreement, shall be determined by arbitration under this Act.

(4) The references in the preceding provisions of this section to the stockholders' representative shall be construed as referring to the stockholders' representative for the transferee company.

Stockholders' representatives.

17.—(1) In the case of every company any of whose securities are to vest by virtue of this Act, there shall be appointed an individual, in this Act referred to as the " stockholders' representative ", and it shall be his duty to represent the interests of holders of securities of that company in connection with the determination of the amount of compensation payable in respect of those securities.

(2) The provisions of the Fifth Schedule to this Act shall have effect with respect to the office of stockholders' representative and meetings of the holders of securities whose interests are represented by a stockholders' representative and matters incidental thereto.

(3) The Minister shall pay out of moneys provided by Parliament to a stockholders' representative such remuneration (whether by way of salary or fees) and such allowances, and such expenses incurred by him in the exercise of his functions, as may be determined by the Minister with the approval of the Treasury, and any sums paid by the Minister under this subsection shall be repaid to him by the Corporation on demand.

PART II. —*cont.*

(4) The company for which a stockholders' representative is appointed and any person to whom property or rights of the company have been disposed of after the date of transfer and any person by whom any property or rights have been disposed of to the company shall make available to the stockholders' representative such facilities for the examination of and the making of extracts from or copies of books, accounts and documents of the company or person, and such services of officers of that company or person, as he may reasonably request for the purposes of his duties or, in the event of any question arising between the stockholders' representative and the company or person whether any request is reasonable, as may be directed by the Minister.

Payments of dividends and interest pending transfer.

Control of dividends, interest and other payments.

18.—(1) Where any company specified in the Third Schedule to this Act, not being a wholly owned subsidiary of a company so specified, has without the approval of the Minister made, in pursuance of an authority or recommendation contained in a resolution of the directors of the company passed after the twenty-ninth day of October, nineteen hundred and forty-eight, and before the date of transfer, payments of interest or dividend on any of its securities in respect of the last complete financial year before the said day or any subsequent period before the date of transfer, being payments which, regard being had to any interest or interim dividend paid before the said day in respect of that year or period, are in excess of the payments of interest or dividend permitted under this section, all persons who were directors of the company at the time when the resolution of the directors was passed authorising or recommending the payments shall, subject to the provisions of this section, be liable to pay to the Corporation an amount equal to the total amount of the excess.

(2) The payments of interest or dividend permitted under this section are as follows:—

(*a*) in the case of securities forming part of the loan capital of the company, payments of interest at the minimum rate required to prevent the company from committing any default in respect of its obligations to the holders of the securities;

(*b*) in the case of securities forming part of the share capital of the company—

(i) if the securities fall in the class, or in one of the classes, which ranks or rank lowest in order of priority for payment of dividend (in this section referred to as "ordinary shares"), payments of dividend at the rate of four per cent. per annum

Part II. —cont.

or the rate, calculated as an annual rate, paid on that class of securities in respect of the last financial year in respect of which a final dividend was paid before the twenty-ninth day of October, nineteen hundred and forty-eight, whichever is the higher;

(ii) if the securities fall in a class ranking for dividend in priority to the ordinary shares, payments of dividend at the minimum rate required to enable, in accordance with the constitution of the company and the rights attaching to the various classes of securities, the permitted payments of dividend to be made on the ordinary shares:

Provided that such payments of dividend shall only be made out of the net revenue of the company for the period in respect of which they are made, as certified by the auditor or one of the auditors of the company, or out of any funds or reserves applicable in accordance with the normal practice for the purpose of maintaining or equalising rates of dividend, and no payment of dividend made otherwise than out of that revenue or out of those funds or reserves shall be permitted under this section, so, however, that this proviso shall not be taken as preventing the payment out of the net revenue for any period (as so certified) of the permitted dividend on any securities mentioned in sub-paragraph (ii) hereof notwithstanding that the payment or a part thereof is attributable to an earlier period, if the payment is made by virtue of cumulative rights attaching to the securities.

(3) Notwithstanding anything in the last preceding subsection the Minister may—

(*a*) in the case of securities of a class falling within paragraph (*b*) of the last preceding subsection, being a class on which a final dividend was never paid before the said day, approve a rate exceeding four per cent. as the rate at which payments of dividend are permitted under this section;

(*b*) in the case of any securities which after the said day were issued at a price below the market value thereof or were issued free, direct that the payments of interest or dividend thereon permitted under this section shall be less than those which would otherwise be permitted or that no such payments shall be permitted.

(4) Where any such company as aforesaid has without the approval of the Minister made, in pursuance of a resolution passed after the said day and before the date of transfer, payments of dividend in respect of any period prior to the last

PART II. —*cont.*

complete financial year before the said day, other than such payments of dividend on securities mentioned in sub-paragraph (ii) of subsection (2) of this section as are permitted to be made under that subsection, all persons who were directors of the company at the time when the resolution of the directors was passed authorising or recommending the payments shall, subject to the provisions of this section, be liable to pay to the Corporation an amount equal to the total amounts of the payments.

(5) For the purposes of this section references to the payment of a dividend shall include a reference to any payment by a company to its members in their capacity as members out of the net revenue of the company.

(6) Any claim under this section by the Corporation against the directors of any such company as aforesaid shall be made within twelve months after the date of transfer, and, if so made and not settled by agreement, shall be determined by arbitration under this Act, and, if the arbitration tribunal decide the claim in favour of the Corporation, they shall make such orders against all or any of the said directors in respect of their liability on the claim as the tribunal think just, having regard to all the circumstances.

(7) References in this and the next following section to any payments of interest or dividend made or permitted to be made by any company shall be construed as references to the gross amounts of those payments, that is to say, to the amounts thereof before any deduction is made therefrom in respect of income tax, and, if any such payment has been made by a company without deduction of income tax, the amount paid shall be deemed for the purposes of this and the next following section to be a net amount paid after deduction of income tax, and the gross amount of that payment for the purposes of this section shall be calculated accordingly:

Provided that, in determining the amount recoverable under this section from the directors of any company in respect of payments of interest or dividend made by that company, there shall be deducted from the amount which would, but for this proviso, be so recoverable a sum equal to the income tax chargeable on that amount at the standard rate for the year in which the payments became due.

Final payment of dividends and interest.

19.—(1) A company specified in the Third Schedule to this Act shall make the following payments as soon as possible after the date of transfer to the persons who immediately before that date were holders of securities of the company in respect of which compensation is payable under this Part of this Act:—

(*a*) interest payments on any securities forming part of the loan capital of the company, which have accrued up to the date of transfer and have not been paid, at the rates permitted under the last preceding section; and

(*b*) subject to the next following subsection, payments of dividend for the final financial period on any other securities of the company at the maximum rates permitted under that section;

and for the purpose of any such payments the statutory or other provisions relating to the company shall be deemed to permit payments of interest or dividend in respect of the final financial period.

(2) The payments required to be made by a company under paragraph (*b*) of the preceding subsection shall not exceed the aggregate of—

(*a*) the amount certified by the auditor or one of the auditors of the company to be the net revenue of the company for the final financial period, less the total amounts paid by the company before the date of transfer by way of interim dividend on any securities mentioned in that paragraph in respect of the final financial period, and less the total amounts of the payments mentioned in paragraph (*a*) of the preceding subsection, in so far as those amounts would not otherwise be deducted in calculating the said net revenue of the company for the final financial period; and

(*b*) the amount of any funds or reserves possessed by the company at the date of transfer and applicable in accordance with the normal practice for the purpose of maintaining or equalising rates of dividend;

and if the aggregate of those amounts is insufficient to enable all the said payments to be made in full, the payments shall be made in the proper order of priority and according to the respective rights attaching to the securities in question.

(3) In this section, the expression " final financial period " means such part of the financial year during which the date of transfer occurs as precedes that date:

Provided that where any company has not, before the date of transfer, paid a final dividend in respect of the last complete financial year before that date or has not paid final

PART II. —*cont.*

dividends in respect of either that year or the immediately preceding financial year, the said expression means that year or, as the case may be, those years together with such part of the financial year during which the date of transfer occurs as precedes that date.

Safeguarding of assets pending transfer.

Power to acquire securities of certain additional companies.

20.—(1) Where it appears to the Minister that any company not specified in the Third Schedule to this Act operates or owns the whole, or a substantial or essential part, of works which—

(*a*) produced during the years nineteen hundred and forty-six and nineteen hundred and forty-seven an average annual output of the products of any one of the activities specified in the first column of the Second Schedule to this Act not less than the quantity specified in the second column of that Schedule in relation to that activity ; and

(*b*) were, on or at any time after the twenty-ninth day of October, nineteen hundred and forty-eight, operated or owned, as the case may be, by a company specified in the said Third Schedule;

the Minister may, at any time before the general date of transfer or within the period of three months beginning with that date, serve on the first-mentioned company a notice (in this section referred to as a " notice of acquisition ") stating that, subject to the following provisions of this section, the securities of the company will be transferred to the Corporation in like manner as the securities of the companies specified in the Third Schedule to this Act:

Provided that this subsection shall not apply in a case where the Minister has approved in writing for the purposes of this subsection, either before or after they were effected, all transactions entered into after the said day resulting directly or indirectly in the transfer or grant to the first-mentioned company of rights of ownership in, or rights in respect of the user of, any of the said works which were operated or owned by the company specified in the said Third Schedule as aforesaid, and the Minister undertook that the powers conferred by this subsection would not be used in relation to those works.

(2) Where it appears to the Minister—

(*a*) that the membership of any company not specified in the Third Schedule to this Act was, on the twenty-ninth day of October, nineteen hundred and forty-eight, such that, if it remained unchanged, the company would come or would have come into public ownership under this Part of this Act; and

(*b*) that since the said day the membership of the company has changed in such a way as to prevent (but for this provision) the company coming into public ownership under this Part of this Act;

the Minister may, at any time before the general date of transfer or within the period of three months beginning with that date, serve on the company a notice (in this section referred to as a " notice of acquisition ") stating that, subject to the following provisions of this section, the securities of the company will be transferred to the Corporation in like manner as the securities of the companies specified in the Third Schedule to this Act:

Provided that this subsection shall not apply in a case where the Minister has approved in writing for the purposes of this subsection, either generally or specially, the changes in the membership of the company since the said day.

For the purposes of this subsection, where any share in a company held by any person as a nominee of another company ceases to be held by him as the nominee of that company, there shall be deemed to have been a change in the membership of the first-mentioned company.

(3) A company on which a notice of acquisition has been served under this section may, within one month after the service of the notice of acquisition, serve a notice on the Minister contending that the company does not operate or own the whole, or a substantial or essential part, of works which fulfil the conditions specified in paragraphs (*a*) and (*b*) of subsection (1) or, as the case may be, that the conditions specified in paragraphs (*a*) and (*b*) of subsection (2) of this section are not fulfilled with respect to the company, and the notice shall set out the grounds of that contention.

(4) Where a notice is served on the Minister under the last preceding subsection, and neither that notice nor the notice of acquisition is withdrawn, the question whether the contention of the company is correct shall be determined by arbitration under this Act, and on any such arbitration the arbitration tribunal shall, if they are satisfied that the contention of the company is correct, revoke the notice of acquisition but shall otherwise confirm it.

(5) Every notice of acquisition shall specify a date (not being earlier than the general date of transfer and not being earlier than the expiration of three months after the service of

PART II. —*cont.*

the notice) which, subject as hereinafter provided, shall be the date of transfer in relation to the company on which the notice is served:

Provided that—

(*a*) the Minister and the company may by agreement substitute another date for the date specified as aforesaid;

(*b*) where a reference to arbitration is made under the preceding provisions of this section and the arbitration tribunal confirm the notice, the date of transfer shall be the date specified as aforesaid or a date substituted by agreement as aforesaid or a date two months after the decision of the arbitration tribunal, whichever is the latest date.

(6) Where a notice of acquisition is served on a company under this section and is not withdrawn or revoked, the provisions of this Part of this Act shall apply, and be deemed always to have applied, to the company in like manner as they apply to the companies specified in the Third Schedule to this Act.

(7) When a notice of acquisition has been served on a company under this section and either the period within which the company may serve a notice under subsection (3) of this section has expired without such a notice being served or the question whether or not the notice is to have effect has been finally settled in favour of the Minister, the company shall forthwith give notice to every holder of its securities of the fact that its securities are to be acquired by the Corporation; and the notice shall, in the case of security holders whose names are entered in any register kept by or on behalf of the company, be given in the same manner as the company gives notice to its members of its general meetings and shall, in any other case, be given by advertisement or in any way allowed by the company's articles of association for giving notice to its members.

Removal of company from Third Schedule.

21.—(1) Where it appears to the Minister that any company specified in the Third Schedule to this Act does not fulfil the following condition, namely, that it operates or owns the whole, or a substantial or essential part, of works which produced during the years nineteen hundred and forty-six and nineteen hundred and forty-seven an average annual output of the products of any one of the activities specified in the first column of the Second Schedule to this Act not less than the quantity specified in the second column of that Schedule in relation to that activity, he may, at any time before the general date of transfer, serve a notice on the company stating that, subject to the following provisions of this section, the securities of the company will not vest in the Corporation by virtue of this Act.

(2) A company on which a notice has been served under this section may, within one month after the service of the notice, serve a notice on the Minister contending that the condition specified in the preceding subsection was fulfilled with respect to the company on the date of the service of the notice by the Minister.

(3) Where a notice is served on the Minister under the last preceding subsection, and neither that notice nor the notice of the Minister is withdrawn, the question whether the said condition was fulfilled with respect to the company on the said date shall be determined by arbitration under this Act, and on any such arbitration the arbitration tribunal shall, if they are satisfied that the contention of the company is correct, revoke the notice of the Minister but shall otherwise confirm it.

(4) Where a notice has been served by the Minister as aforesaid on any company, no transfer of the securities of the company shall take place by virtue of this Act during the period within which a notice may be served by the company under subsection (2) hereof or, if such a notice has been served by the company, pending the final settlement of the question whether or not the Minister's notice is to have effect, and, if the Minister withdraws his notice or the arbitration tribunal revoke the notice of the Minister, and, but for this subsection, the said transfer of securities would have already taken place or would take place less than two months after the date of the withdrawal or, as the case may be, the decision of the arbitration tribunal, the date of transfer shall be a date two months after the date of the withdrawal or decision.

(5) Where a notice is served on a company under this section and is not withdrawn or revoked, this Act shall have effect, and be deemed always to have had effect, as if the company had never been specified in the Third Schedule to this Act, but without prejudice to the operation of the last preceding section or either of the next two following sections in relation to any works which were owned or operated by the company on or after the twenty-ninth day of October, nineteen hundred and forty-eight, and ceased to be so owned or operated before the service of the said notice.

(6) When a notice has been served on a company under this section by the Minister and either the period within which the company may serve a notice under subsection (2) of this

PART II. —*cont.*

section has expired without such a notice being served or the question whether or not the Minister's notice is to have effect has been finally settled in favour of the Minister, the effect of the latter notice shall be published in the London and Edinburgh Gazettes, and the company shall give the like notice thereof to the holders of its securities as in the case of a notice of acquisition under the last preceding section.

Prohibition of transfer of iron and steel works.

22.—(1) It shall not be lawful—

(*a*) for any company specified in the Third Schedule to this Act, at any time before the date of transfer, to enter into any transaction transferring or granting to any person any rights of ownership in, or rights in respect of the user of, any works or part of any works used for the carrying on of any of the activities specified in the first column of the Second Schedule to this Act ;

(*b*) for any other company which has acquired any rights of ownership in, or any rights in respect of the user of, any works or part of any works which, on or at any time after the twenty-ninth day of October, nineteen hundred and forty-eight, were operated or owned by a company so specified and were used for the carrying on of any of the said activities, to enter into any transaction transferring or granting to any person any rights of ownership in those works or any part thereof, or any rights in respect of the user of those works or any part thereof, at any time before the general date of transfer or within the period of three months beginning with that date or, if a notice of acquisition is served under the last but one preceding section on the company, at any time before the date of transfer of that company or, if the notice is withdrawn or revoked, the date of such withdrawal or revocation ;

and any transaction purporting to effect such a transfer or grant shall accordingly be void:

Provided that this section shall not apply to any transfer or grant approved in writing for the purposes of this section by the Minister, either generally or specially, and the Minister may approve such a transfer or grant after it has been made and in that case the transfer or grant shall be deemed always to have been valid, but such approval may be given subject to conditions including conditions enabling the Corporation to require the transfer, surrender or grant of rights in respect of the works or part of the works in question to a publicly-owned company.

(2) Any question whether any transaction is rendered void by the preceding subsection shall, unless settled by agreement

between the Corporation and the parties to the transaction and the parties to any subsequent transaction relating to the same works, be determined by arbitration under this Act between the Corporation and those parties, and any proceedings for the determination thereof shall be commenced within twelve months after the date of transfer or (if the company concerned has no date of transfer) the general date of transfer, and, if such proceedings are not commenced within that period, the transaction shall, subject to any such agreement as aforesaid, be deemed to be a valid transaction so far as this section is concerned.

PART II. —*cont.*

(3) If the Corporation suffer damage by reason of any transaction which is unlawful by virtue of subsection (1) of this section, the Corporation may, at any time within twelve months after the date of transfer or (if the company has no date of transfer) the general date of transfer, make an application to the arbitration tribunal, and all parties to the transaction and all persons who were directors of the company at the time when the transaction was entered into shall, unless the tribunal otherwise direct, be made parties to the application; and if the tribunal are satisfied that the Corporation has suffered such damage, they shall make such orders against any of the parties to the application as they think just, having regard to the extent to which those parties were respectively responsible for the transaction or benefited from it and to all the circumstances of the case, for the payment by them to the Corporation of sums sufficient to enable the loss, or such part thereof as the tribunal think just, to be made good:

Provided that, in the case of any transaction entered into in pursuance of a resolution of the directors, no person who was not a director at the time when the resolution authorising or recommending the transaction was passed, shall, by reason of his directorship, be made a party to the application.

(4) No person shall be liable to any criminal proceedings by reason only of a contravention of subsection (1) of this section.

Recovery of assets transferred by a company which comes into public ownership.

23.—(1) Where it appears to the Minister—

(*a*) that any company specified in the Third Schedule to this Act or any other company which comes into public ownership under this Part of this Act has, at any time after the twenty-ninth day of October, nineteen hundred and forty-eight, and before the date of transfer, entered into any transaction which—

(i) transferred or granted to any person other than such a company as aforesaid any rights of ownership in any works or rights in respect of the user of any works; or

PART II. —*cont.*

(ii) transferred or granted to any such person any rights in respect of the user of any invention or registered design; and

(*b*) that it is in the public interest, for the purpose of securing the efficient carrying on of the business of any publicly-owned company, that the rights so transferred or granted, or any rights derived from those rights, should vest in or be surrendered to that company;

he may authorise the Corporation to serve, at any time within three months after the date of transfer of that company, a notice (in this section and in the Sixth Schedule to this Act referred to as a " notice of acquisition ") on any person in whom any such rights are vested stating that those rights are to vest or be surrendered in accordance with the Sixth Schedule to this Act, together with such other property and rights as are mentioned in the said Schedule:

Provided that, where any such transfer or grant has been approved in writing for the purposes of this section by the Minister (whether before or after the date of the transfer or grant), this subsection shall not apply, but such approval may be given subject to conditions including conditions enabling the Corporation to require the transfer, surrender or grant of rights in respect of the works, invention or registered design in question to a publicly-owned company.

(2) Any person on whom a notice of acquisition has been served may, within one month after the service thereof, serve a notice on the Corporation contending that the conditions specified in paragraph (*a*) of the preceding subsection are not fulfilled, and the notice shall set out the grounds of that contention.

(3) Where a notice is served on the Corporation under the last preceding subsection, and neither that notice nor the notice of acquisition is withdrawn, the question whether the said conditions are fulfilled shall be determined by arbitration under this Act, and on any such arbitration the arbitration tribunal shall, if they are satisfied that the contention of the said person is correct, revoke the notice of acquisition, but shall otherwise confirm it.

(4) Where a notice of acquisition is served and is not withdrawn or revoked, the provisions of the Sixth Schedule to this Act shall have effect in relation thereto.

(5) In this section the expression " user ", in relation to an invention, means any making, use or vending of the invention and, in relation to a registered design, means any manufacture or sale of the articles to which the design has been

applied; and the expression " registered design " means any design registered under the Patents and Designs Act, 1907, in which the copyright still exists.

Dissipation of assets by transactions involving payments, distributions etc. to members of company.

24.—(1) This section shall apply where any company which comes into public ownership under this Part of this Act has, after the twenty-ninth day of October, nineteen hundred and forty-eight and before the date of transfer—

(*a*) made any payments to its members for the purpose of reducing the share capital of the company otherwise than by the redemption of any redeemable securities;

(*b*) redeemed any securities which the company was not under any obligation to redeem before the date of transfer or made payments in respect of the redemption of any securities which exceed the minimum payments required to satisfy the rights existing on the said day of the holders of those securities;

(*c*) made any other payment to the holders of its securities (in their capacity as such) out of capital moneys, or distributed assets other than money to the holders of its securities (in their capacity as such); or

(*d*) entered into any transaction the effect of which is that property or rights of the company are transferred or granted to any person, and the consideration for such transfer or grant is received by the holders of securities of the company or any of them (in their capacity as such):

Provided that this section shall not apply to any payment or other transaction which has been approved in writing by the Minister for the purposes of this section, either generally or specially, and whether before or after the date of the payment or transaction.

(2) An approval given by the Minister for the purposes of this section may be given on such conditions as may be specified in the approval, which may—

(*a*) in the case of any such payment or distribution to, or transaction involving the receipt of consideration by, members or holders of securities as is mentioned in paragraph (*a*), paragraph (*c*) or paragraph (*d*) of the preceding subsection, include a condition requiring the compensation payable under this Part of this Act in respect of the securities of those members or holders to be reduced to such extent as may be specified in the approval or subsequently determined in a manner so specified;

PART II. —*cont.*

(*b*) in the case of any such payment as is mentioned in the said paragraph (*a*) involving a reduction in the nominal value of any securities, include a condition reducing, as respects future dividends paid by the company on those securities before the date of transfer, the payments of dividend permitted under the provisions of this Part of this Act relating to the control of dividends;

and the provisions of this Part of this Act relating to the payment of compensation and to the control of dividends, respectively, shall have effect subject to any such condition as is mentioned in paragraph (*a*) or paragraph (*b*) hereof:

Provided that the Minister shall not approve any transaction on such a condition as is mentioned in paragraph (*a*) hereof unless he is satisfied that a meeting has been held of the holders for the time being of the securities affected, after not less than fourteen days' notice in writing, and that a majority in number representing three-fourths in value of the said holders present and voting either in person or by proxy at the meeting have agreed to that condition.

(3) The Corporation may, in the case of any such company, at any time within twelve months after the date of transfer, make an application to the arbitration tribunal in respect of any transaction to which in the opinion of the Corporation this section applies, and all persons who were directors of the company at the time when the transaction was entered into and, in the case of a transaction mentioned in paragraph (*d*) of subsection (1) of this section, or any transaction mentioned in paragraph (*c*) thereof where the payments made or assets distributed represent the consideration for the transfer or grant of property or rights by the company to any other person, the persons to whom the property or rights were transferred or granted shall, unless the tribunal otherwise direct, be made parties to the application:

Provided that, in the case of any transaction entered into in pursuance of a resolution of the directors, no person who was not a director at the time when the resolution authorising or recommending the transaction was passed shall, by reason of his directorship, be made a party to the application.

(4) Where the arbitration tribunal are satisfied that a transaction in respect of which such an application is made is a transaction to which this section applies, they shall determine the extent of the net loss resulting to the Corporation from the transaction, and shall make such orders against any of the parties to the application as the tribunal think just, having regard to the extent to which those parties were

respectively responsible for the transaction or benefited from it and all the circumstances of the case, for the payment by them to the Corporation of sums sufficient to enable the net loss, or such part thereof as the tribunal think just, to be made good or met:

PART II. —*cont.*

Provided that, in the case of a company other than a company specified in the Third Schedule to this Act, the tribunal shall not make an order under this subsection against any director of the company or other person who satisfies the tribunal that he did not know and could not reasonably have expected that the company would come into public ownership under this Part of this Act.

Other transactions resulting in dissipation of assets.

25.—(1) This section shall apply where any company which comes into public ownership under this Part of this Act has, after the twenty-ninth day of October, nineteen hundred and forty-eight and before the date of transfer—

(*a*) made any payment to any person without consideration or for an inadequate consideration;

(*b*) sold or disposed of any of its property or rights without consideration or for an inadequate consideration;

(*c*) acquired any property or rights for an excessive consideration;

(*d*) entered into or varied any agreement so as to require an excessive consideration to be paid or given by the company; or

(*e*) entered into any other transaction of such an onerous nature as to cause a loss to or impose a liability on the company substantially exceeding any benefit accruing to the company;

and the payment, sale, disposal, acquisition, agreement or variation thereof, or other transaction was not reasonably necessary for the purposes of the company or was made with an unreasonable lack of prudence on the part of the company, regard being had in either case to the circumstances at the time:

Provided that this section shall not apply—

(i) to any payment or other transaction to which the last preceding section or section eighteen of this Act applies;

(ii) to any payment or other transaction made or entered into for any charitable purpose;

(iii) to any payment or other transaction made or entered into in connection with the determination of any

PART II. —*cont.*

question, dispute or matter falling to be determined under any provision of this Part of this Act or any regulations made thereunder; or

(iv) to any payment or other transaction which has been approved in writing for the purposes of this section or section thirteen of this Act by the Minister, either generally or specially, and whether before or after the date of the payment or transaction.

(2) The Corporation may, in the case of any such company, at any time within twelve months after the date of transfer, make an application to the arbitration tribunal in respect of any transaction to which in the opinion of the Corporation this section applies, and all parties to the transaction, and all persons who were directors of the company at the time when the transaction was entered into shall, unless the tribunal otherwise direct, be made parties to the application:

Provided that, in the case of any transaction entered into in pursuance of a resolution of the directors, no person who was not a director at the time when the resolution authorising or recommending the transaction was passed shall, by reason of his directorship, be made a party to the application.

(3) Where the arbitration tribunal are satisfied that a transaction in respect of which an application is made is a transaction to which this section applies, then, unless they are also satisfied that the transaction was a proper transaction made in the ordinary course of business, regard being had to the circumstances at the time, and was in no way connected with any provision made by this Act or with any anticipation of the making of any such provision, the tribunal shall determine the extent of the net loss resulting to the Corporation from the transaction, and shall make such orders against any of the parties to the application as the tribunal think just, having regard to the extent to which those parties were respectively responsible for the transaction or benefited from it and all the circumstances of the case, for the payment by them to the Corporation of sums sufficient to enable the net loss, or such part thereof as the tribunal think just, to be made good or met:

Provided that, in the case of a company other than a company specified in the Third Schedule to this Act, the tribunal shall not make an order under this subsection against any director of the company or other person who satisfies the tribunal that he did not know and could not reasonably have expected that the company would come into public ownership under this Part of this Act.

PART II.—*cont.*

(4) Where any such company has disclaimed an agreement or lease by a notice under this Part of this Act, being an agreement or lease entered into or varied after the said twenty-ninth day of October, nineteen hundred and forty-eight, the Corporation may make an application to the arbitration tribunal under this section in respect of any loss resulting from the onerous nature of the agreement or lease before the date on which the agreement or lease is deemed to have been frustrated or surrendered.

(5) Where an application is made to the arbitration tribunal under this section in respect of any transaction and the application is determined in favour of the Corporation, the tribunal shall have exclusive jurisdiction to determine any claims outstanding in respect of the transaction.

Supplementary provisions relating to dissipation of assets.

26.—(1) Where it appears to the arbitration tribunal that a transaction in respect of which an application is made under either of the two last preceding sections is or may be one of a group of inter-connected transactions which ought to be treated for the purposes of that section as a single transaction, they may order such additional persons as they think fit, being parties to any transaction comprised in the group, to be made parties to the application, and, if the tribunal are satisfied that the whole or part of the group of transactions ought to be treated as a single transaction for the purposes of that section, they may give a direction to that effect, and the section shall have effect accordingly.

(2) The serving of a notice of acquisition under section twenty-three of this Act in relation to any property or rights shall not prejudice the taking of proceedings under either of the two last preceding sections with respect to any transaction relating to that property or those rights, and any such proceedings and any proceedings pursuant to the notice may, if the arbitration tribunal think fit, be heard together, and any sums ordered by the tribunal in the proceedings under either of the two last preceding sections to be paid by any person may, if the tribunal think fit, be set off against any compensation payable to that person in the proceedings pursuant to the notice.

Approvals and undertakings given before passing of Act.

27.—(1) Where the Minister has approved in writing any transaction before the passing of this Act, and the approval was expressed to be given for the purposes of any provision of this Part of this Act when that provision should come into operation, or to be subject to a condition affecting the operation of any provision of this Part of this Act, and the approval sufficiently identifies the provision in question, the approval shall have effect for the purposes of or in relation to that provision in like manner as if it had been given after the passing of this Act.

PART II. —*cont.*

(2) Where the Minister has given an undertaking in writing before the passing of this Act with respect to the use of any powers to be conferred by any provision of this Part of this Act, and the undertaking sufficiently identifies the provision in question, the undertaking shall have effect in relation to that provision in like manner as if it had been given after the passing of this Act.

Transfer of certain assets of Ministers and Government departments.

Transfer of certain assets of Ministers and Government departments to the Corporation.

28. The Minister may, after consultation with the Corporation, provide for the transfer to the Corporation, on such terms as may be determined by the Treasury, of any property or rights held by any Minister of the Crown or Government department for the purpose of the carrying on, whether by that Minister or department or any other person, of any of the activities specified in the first column of the Second Schedule to this Act or any other activities which the Corporation are for the time being authorised to carry on, and the terms upon which any such property or rights are transferred to the Corporation shall be published in the report of the Corporation to be made under section four of this Act.

PART III.

LICENSING OF BUSINESSES NOT ACQUIRED BY CORPORATION.

Activities in Second Schedule not to be carried on except under licence.

29.—(1) Subject to the provisions of the next following section, no person shall, after the expiration of three months after the general date of transfer, carry on in Great Britain any of the activities specified in the first column of the Second Schedule to this Act, except under the authority of a licence issued by the Minister under this section:

Provided that a person shall not require a licence under this section for the carrying on of any such activity, if and so long as the output of the products of that activity does not exceed in any year the quantity specified in relation to that activity in the third column of the Second Schedule to this Act.

(2) A licence issued under this section may be issued on such terms and conditions as the Minister thinks fit, which may in particular include conditions—

(*a*) limiting the period for which the licence is to be in force;

(*b*) limiting the extent to which any of the said activities is to be carried on ;

and before issuing a licence under this section, the Minister shall consult with the Corporation.

PART III.
—*cont.*

(3) Where the business or any part of the business to which a licence issued under this section relates has been or is proposed to be transferred, the holder of the licence may, after giving notice in writing to the Minister, assign the licence to the person to whom the transfer has been made, and the licence shall thereupon have effect as if it had been issued to that person, but shall only authorise the use of works which were used for the purposes of the business or part of the business at the time of the transfer thereof.

(4) The Minister may, with the consent of the holder of the licence, vary any licence issued under this section, or replace it with another licence so issued.

(5) This section shall not apply to the Corporation or any publicly-owned company.

(6) If any person contravenes the provisions of this section, or fails to comply with any term or condition of a licence granted to him thereunder, he shall be guilty of an offence and shall be liable on summary conviction to a fine not exceeding one hundred pounds or, on conviction on indictment, to a fine not exceeding five hundred pounds; and if the contravention in respect of which he is convicted is continued after the conviction, he shall be guilty of a further offence and liable in respect thereof on summary conviction to a fine not exceeding twenty pounds for each day on which the contravention is so continued or, on conviction on indictment, to a fine not exceeding one hundred pounds for each day on which the contravention is so continued.

Rights of existing businesses.

30.—(1) Where a person at the date of the passing of this Act carries on in Great Britain a business the activities of which consist of or include any of the activities specified in the first column of the Second Schedule to this Act and furnishes within two months after the general date of transfer the particulars mentioned in the next following subsection, the Minister shall, within six months after the date on which the said particulars were received by the Minister or, in a case where a question is referred to arbitration under subsection (5) of this section, within three months after the determination of that question, issue to the said person a licence under the last preceding section authorising him to carry on such of the activities specified in the said first column of the Second Schedule as were activities of the business at the date of the passing of this Act and were specified in the said particulars; and the said person, or any person to whom the said business or a part thereof has been assigned together with a right to have the licence assigned

PART III —*cont.*

to him when issued, shall, pending the issue of the licence, be entitled to carry on any of the said activities of the business without a licence:

Provided that this section shall not apply to a company specified in the Third Schedule to this Act whose securities, by virtue of a notice served by the Minister under Part II of this Act, do not vest by virtue of this Act.

(2) The particulars to be furnished under the preceding subsection are the following, that is to say:

(*a*) the name of the person carrying on the business;

(*b*) if the business is carried on by a company, the registered office of that company, and in any other case the principal place of business of the person carrying on the business;

(*c*) the activities of the business, so far as they consist of activities specified in the first column of the Second Schedule to this Act; and

(*d*) in relation to each such activity of the business, the output in each of the years nineteen hundred and forty-six and nineteen hundred and forty-seven of the works which were being used for carrying on that activity of the business at the passing of this Act.

(3) Subject to the next following subsection, a licence which the Minister is required by this section to issue shall not be subject to any conditions except the following, that is to say:

(*a*) a condition limiting the extent of any such activity to the annual production of—

(i) double the average annual output during the years nineteen hundred and forty-six and nineteen hundred and forty-seven of the works aforesaid used for carrying on that activity, or

(ii) the quantity specified in the second column of the Second Schedule to this Act in relation to that activity,

whichever is the less; and

(*b*) a condition requiring the said person to furnish to the Corporation such returns, at such periods, of the subsequent output of the business in carrying on any such activity, as may be specified in the licence.

(4) Where the Minister is required by this section to issue a licence to a person in whose case the average annual output during the years nineteen hundred and forty-six and nineteen hundred and forty-seven of the works used for carrying on

any such activity of the business at the passing of this Act was greater than the quantity specified in the second column of the Second Schedule to this Act in relation to that activity, the licence shall, instead of being subject to the condition specified in paragraph (*a*) of the last preceding subsection, be subject to a condition limiting the extent of the production of that activity to the average annual output of the works during those years; and the licence shall be subject also to a condition that the Corporation may require the holder of the licence to sell to them so much of the output to which the licence relates as the holder of the licence does not require for purposes of manufacture in the works of the holder of the licence, at such price as may be agreed, or, in default of such agreement, as may be determined by arbitration having regard to the prices at which similar products are sold in the open market by the Corporation or publicly-owned companies.

(5) If the Minister desires to contend that the output of any works in any year in carrying on any activity specified in the first column of the Second Schedule to this Act is wrongly specified in the particulars furnished as aforesaid, he may, at any time before the expiration of six months after the date on which the said particulars were received by him, refer the question as to what is the correct output for determination by arbitration under this Act, but, subject to any such reference or any agreement between the Minister and the person carrying on the business, the figures specified in the said particulars shall, for the purposes of this section, be taken to be correct.

(6) Nothing in this section shall be taken as preventing the Minister, in a case where he is required by this section to issue a licence to any person, from issuing to that person an additional licence or licences under the last preceding section, subject to such terms and conditions as the Minister thinks fit to impose under that section, authorising him to carry on any activity specified in the first column of the Second Schedule to this Act, to an extent additional to the extent (if any) authorised by the licence required to be issued under this section.

PART IV.

FINANCE.

Revenues of Corporation to be sufficient to meet outgoings.

31. It shall be the duty of the Corporation so to exercise and perform their functions under this Act as to secure that the combined revenues of the Corporation and all the publicly-owned companies taken together are not less than sufficient to meet their combined outgoings properly chargeable to revenue account, taking one year with another.

PART IV. —*cont.*

Borrowing powers of the Corporation and of publicly-owned companies.

32.—(1) The Corporation may, with the consent of the Minister and with the approval of the Treasury, or in accordance with the terms of any general authority given by the Minister with the approval of the Treasury, borrow temporarily, by way of overdraft or otherwise, such sums as the Corporation may require for meeting their obligations or discharging their functions under this Act including the temporary lending of money to any publicly-owned company.

(2) Any publicly-owned company may, with the consent of the Corporation, or in accordance with the terms of any general authority given by the Corporation, borrow temporarily, by way of overdraft or otherwise, such sums as the company may require for the purposes of its undertaking.

(3) The Corporation may, with the consent of the Minister and the approval of the Treasury, borrow money by the issue of British Iron and Steel Stock for all or any of the following purposes, that is to say—

(*a*) the provision of money for meeting any expenses incurred by the Corporation or any publicly-owned company in connection with any works the cost of which is properly chargeable to capital;

(*b*) the redemption of any British Iron and Steel Stock;

(*c*) the provision of working capital required by the Corporation or any publicly-owned company;

(*d*) the acquisition under section two of this Act of any interests in or property or rights of any company or the formation under the said section two of any company;

(*e*) any other purpose for which capital moneys are properly applicable by the Corporation or any publicly-owned company, including the repayment of any money temporarily borrowed under the two last preceding subsections for any of the purposes mentioned in this subsection.

(4) The aggregate amount outstanding in respect of the principal of any stock issued by the Corporation for the purpose of the exercise of their powers under this section, and in respect of any temporary loan raised by the Corporation or any publicly-owned company, shall not at any time exceed the sum of three hundred and fifty million pounds :

Provided that nothing in this subsection shall prevent the Corporation from borrowing in excess of the said sum for the purpose of redeeming any British Iron and Steel Stock which they are required or entitled to redeem or repaying any money temporarily borrowed under subsections (1) and (2) of this section.

PART IV. —*cont.*

(5) The issue by the Corporation of British Iron and Steel Stock direct to any company or to the members thereof, as consideration for the purchase under section two of this Act of interests in or property or rights of the company shall be deemed, for the purposes of this section, to be a borrowing of the amount of the principal of the stock so issued.

(6) Save as provided by the preceding provisions of this section, neither the Corporation nor any publicly-owned company shall borrow any money.

British Iron and Steel Stock.

33.—(1) The Corporation—

(*a*) may create and issue any stock required for the purpose of exercising their powers under the last preceding section;

(*b*) shall create and issue such stock as is required for the purpose of satisfying any right to compensation which under any provision of this Act is to be satisfied by the issue of British Iron and Steel Stock;

and the stock so created and issued is in this Act referred to as " British Iron and Steel Stock ".

(2) The Seventh Schedule of this Act shall, subject to the provisions of this section and of the Fourth Schedule to this Act, apply with respect to the issue, transfer and redemption of British Iron and Steel Stock and otherwise in relation to such stock:

Provided that, in relation to any issue of British Iron and Steel Stock, other than the stock issued by way of compensation in respect of the securities which vest by virtue of this Act, the Treasury may by regulations make such amendments in the said Seventh Schedule as appear to them to be necessary or expedient.

(3) Any British Iron and Steel Stock in which no person is beneficially interested except the Corporation or a publicly-owned company shall be cancelled.

Treasury guarantees

34.—(1) The principal of and the interest on any British Iron and Steel Stock created and issued for the purpose of satisfying any right to compensation which, under any provision of this Act, is expressly required to be satisfied by the issue of stock, shall be guaranteed by the Treasury, and the Treasury may guarantee, in such manner and on such conditions as they think fit, the redemption or repayment of, and the payment of any interest on, any other British Iron and Steel Stock or any temporary loan raised by the Corporation or any publicly-owned company.

(2) Any sums required by the Treasury for fulfilling any such guarantee as is provided for by the preceding subsection

PART IV. —*cont.*

shall be charged on and issued out of the Consolidated Fund of the United Kingdom or the growing produce thereof (hereinafter referred to as "the Consolidated Fund"), and any such sums shall be repaid together with interest thereon at such rate as the Treasury may determine, by the Corporation to the Treasury in such manner and over such period as the Treasury may, after consultation with the Minister, determine.

(3) Immediately after a guarantee is given under this section, the Treasury shall lay a statement of the guarantee before each House of Parliament.

(4) Where any sum is issued out of the Consolidated Fund under this section, the Treasury shall forthwith lay before each House of Parliament a statement that that sum has been issued.

General reserve.

35.—(1) Without prejudice to the Corporation's power to establish appropriate reserves for replacements or other purposes, the Corporation shall establish and maintain a general reserve.

(2) The Corporation shall contribute to the general reserve such sums at such times as they may determine and the management of the said reserve and the application of the moneys comprised therein shall be as the Corporation may determine:

Provided that—

(*a*) no part of the said reserve shall be applied otherwise than for the purposes of the Corporation or of publicly-owned companies; and

(*b*) the power of the Minister to give directions to the Corporation shall extend to the giving to them with the approval of the Treasury of directions as to any matter relating to the establishment or management of the said reserve or the carrying of sums to the credit thereof, or the application thereof, notwithstanding that the directions may be of a specific character, and the Corporation shall give effect to any such directions.

(3) It is hereby declared that the purposes of the general reserve include the checking of undue fluctuation in the prices of products of the Corporation and of the publicly-owned companies, and the financing of works the cost of which is properly chargeable to capital, and the powers of the Corporation in relation to the said reserve shall be exercisable accordingly.

Ordinary powers of investment.

36. Any sums in the hands of the Corporation which are not immediately required for the purposes of their business may be invested in such manner as the Corporation think proper:

Provided that the Corporation shall not have power under this section to invest money in the securities of any company so as to make that company a subsidiary of the Corporation or so as to enable the Corporation to exercise an effective influence on the policy of the company.

Sums which are to be chargeable to revenue account.

37. The Corporation shall charge, and shall secure that the publicly-owned companies charge, to revenue account in every year all charges which are proper to be made to revenue account, including, in particular, proper provision for depreciation or diminution in value of assets or for renewal of assets and, in the case of the Corporation, proper allocations to the general reserve, and any reference in this Act to outgoings properly chargeable to revenue account shall be construed accordingly.

Accounts and audit and statistics.

38.—(1) The Corporation shall keep proper accounts and other records and shall prepare—

(*a*) in respect of each financial year a statement of the accounts of the Corporation; and

(*b*) in respect of the first financial year in which it is practicable to do so, and of each financial year thereafter, a consolidated statement of accounts dealing with the state of affairs and profit and loss of the Corporation and the publicly-owned companies as a whole;

in such form as the Minister, with the approval of the Treasury, may direct, being a form which shall conform with the best commercial standards.

(2) The accounts of the Corporation shall be audited by auditors to be appointed in respect of each financial year by the Minister, and the auditors shall make a report on the accounts examined by them and on the statements of accounts prepared under the preceding subsection, and the report shall contain statements as to the matters mentioned in the Eighth Schedule to this Act:

Provided that no person shall be qualified to be so appointed unless he is a member of one or more of the following bodies:—

The Institute of Chartered Accountants in England and Wales;

PART IV. —*cont.*

The Society of Incorporated Accountants and Auditors;
The Society of Accountants in Edinburgh;
The Institute of Accountants and Actuaries in Glasgow;
The Society of Accountants in Aberdeen;
The Association of Certified and Corporate Accountants;
The Institute of Chartered Accountants in Ireland.

(3) So soon as the accounts of the Corporation have been audited, the Corporation shall send to the Minister—

(*a*) a copy of the statement referred to in paragraph (*a*) of subsection (1) of this section together with a copy of the report made by the auditors on that statement;

(*b*) copies of the accounts of each of the publicly-owned companies prepared in accordance with the Companies Act, 1948, but so that where group accounts within the meaning of that Act are prepared by any company it shall not be necessary for a copy of the accounts of any subsidiary dealt with in those group accounts to be sent to the Minister ;

(*c*) in each year in which the Corporation are required to prepare a consolidated statement of accounts under paragraph (*b*) of subsection (1) of this section, a copy of that consolidated statement, together with a copy of the report made by the auditors on that statement;

and copies of every statement, account and report required to be sent to the Minister under this subsection shall be made available to the public at a reasonable price.

(4) The Minister shall lay a copy of every such statement, account and report before each House of Parliament.

(5) The Corporation shall compile and publish periodical statistics and returns relating to each of the principal activities of the Corporation and the publicly-owned companies, and the Minister may give directions to the Corporation as to the form of those returns and the manner of publication.

PART V.

MISCELLANEOUS AND GENERAL.

Conditions of employment, pension rights and compensation of officers.

Machinery for settling terms and conditions of employment of staff, etc.

39.—(1) Except so far as the Corporation are satisfied that adequate machinery exists for achieving the purposes of this section, it shall be the duty of the Corporation, either directly, or indirectly by exercising control over publicly-owned companies, to seek consultation with any organisation appearing to them to be appropriate with a view to the conclusion between the Corporation and that organisation or, if the Corporation so decide, between publicly-owned companies and that organisation, of such agreements as appear to the parties to be desirable with respect to the establishment and maintenance of machinery for— PART V. —*cont.*

(*a*) the settlement by negotiation of terms and conditions of employment of persons employed by the Corporation and by publicly-owned companies with provision for reference to arbitration in default of such settlement in such cases as may be determined by or under the agreements; and

(*b*) the promotion and encouragement of measures affecting the safety, health and welfare of persons employed by the Corporation and by publicly-owned companies and the discussion of other matters of mutual interest to the Corporation and those companies and such persons, including efficiency in the operation of the business of the Corporation and those companies.

(2) The Corporation shall send to the Minister and the Minister of Labour and National Service copies of any such agreement as aforesaid and of any instrument varying the terms of any such agreement.

(3) Nothing in this section shall be construed as prohibiting the Corporation or a publicly-owned company from taking part together with other employers or organisations of employers in the establishment and maintenance of machinery for the settlement of terms and conditions of employment and the promotion and encouragement of measures affecting the safety, health and welfare of persons employed by them and the discussion of other matters of mutual interest to them and persons employed by them.

Provisions as to pension rights.

40.—(1) The Minister may make regulations for all or any of the following purposes, that is to say—

(*a*) for providing pensions to or in respect of persons who are or have been officers of the Corporation or a company which comes into public ownership;

(*b*) for the establishment and administration of pension schemes and pension funds for the purposes of the preceding paragraph, for the continuance, amendment, repeal or revocation of existing pension schemes relating to the like purposes and of enactments relating thereto and of trust deeds, rules or other instruments made for the purposes thereof, for

PART V. —*cont.*

the transfer in whole or in part, or for the extinguishment, of liabilities under any such existing pension schemes, and for the transfer in whole or in part, or winding up, of pension funds held for the purposes of any such existing pension schemes, so, however, that nothing in this paragraph shall be construed as authorising the diversion of any such funds to purposes other than those of the preceding paragraph;

(*c*) for making any provision consequential on any such provision as aforesaid including provision for the dissolution or winding up of bodies, whether incorporated or not, the continued existence whereof is unnecessary having regard to the regulations.

(2) Where provision is made by any such regulations for the amendment, repeal or revocation of any existing pension scheme or of any enactment relating thereto or any trust deed, rules or other instrument made for the purposes thereof, or for the transfer or extinguishment of any liability under any pension scheme or for the transfer or winding up of any pension fund held for the purposes of any such scheme, the regulations shall be so framed as to secure that persons having pension rights under the scheme, whether such persons as are mentioned in paragraph (*a*) of the preceding subsection or not, are not placed in any worse position by reason of the amendment, repeal, revocation, transfer, extinguishment or winding up:

Provided that this subsection shall have effect subject to such limitations as the Minister may by regulations prescribe for meeting cases in which, in connection with any provision made by this Act or in anticipation of the making of any such provision, pension rights have been created otherwise than in the ordinary course.

(3) Regulations made under this section shall not be invalid by reason that in fact they do not secure that persons having pension rights are not placed in any worse position by reason of any such amendment, repeal, revocation, transfer, extinguishment or winding up as is mentioned in the last preceding subsection, but if the Minister is satisfied or it is determined as hereinafter mentioned that any such regulations have failed to secure that result, the Minister shall as soon as possible make the necessary amending regulations.

Any dispute arising as to whether or not the said result has been secured by any regulations made under this section shall be referred to a referee or board of referees appointed by the Minister of Labour and National Service after consultation with the Lord Chancellor, or, where the proceedings are to be held in Scotland, after consultation with the Secretary of State, and the decision of that referee or board shall be final and the Corporation shall give effect to that decision.

(4) Where, by reason of any such amendment, repeal, revocation, transfer, extinguishment or winding-up as is mentioned in subsection (2) of this section, loss is suffered by any person (not being a publicly-owned company) liable as an employer to make contributions or to pay pensions under the existing pension scheme in question, the Corporation shall pay compensation to that person in respect of that loss, and the amount thereof shall, in default of agreement between the Corporation and that person, be determined by arbitration under this Act.

(5) Without prejudice to the generality of the preceding provisions of this section, regulations made under this section may contain provisions authorising any person who, being a participant in any pension scheme to which the regulations relate, becomes a member of the Corporation, being treated as if his service as a member of the Corporation were service as an officer of the Corporation, and the pension rights of any such person resulting from the operation of any such provision shall not be affected by any provision of this Act which requires that the pensions, if any, which are to be paid in the case of members of the Corporation are to be determined by the Minister with the approval of the Treasury.

(6) Nothing in this section, and in particular nothing in subsection (2) thereof, shall be taken to derogate from the power conferred by subsection (4) of section sixty-nine of the National Insurance Act, 1946, to make regulations providing for the modifying or winding up of pension schemes in connection with the passing of that Act.

(7) Regulations made under this section may contain such supplementary and consequential provisions as the Minister thinks necessary, including provisions as to the manner in which questions arising under the regulations are to be determined and provisions adapting, modifying or repealing enactments, whether of general or special application.

(8) Regulations made under this section may be made so as to have effect from a date prior to the making thereof, so, however, that so much of any regulations as provides that any provision thereof is to have effect from a date prior to the making thereof shall not place any person other than the Corporation or a publicly-owned company in a worse position than he would have been if the regulations had been made to have effect only as from the date of the making thereof.

PART V. —*cont.*

Compensation to officers in connection with transfers.

41.—(1) The Minister shall by regulations require the payment either by the Corporation or the company, in such cases and to such extent as may be specified in the regulations, of compensation to officers of any company which comes into public ownership under Part II of this Act, being officers who suffer loss of employment or loss or diminution of emoluments or pension rights in consequence of the company becoming a publicly-owned company.

(2) Different regulations may be made under this section in relation to different classes of persons, and any such regulations may be so framed as to have effect as from a date prior to the making thereof, so, however, that so much of any regulations as provides that any provision thereof is to have effect as from a date earlier than the making thereof shall not place any person other than the Corporation or any such company in a worse position than he would have been in if the regulations had been made to have effect only as from the date of the making thereof.

(3) Regulations made under this section—

(*a*) shall prescribe the procedure to be followed in making claims for compensation, and the manner in which and the person by whom the question whether any or what compensation is payable is to be determined; and

(*b*) shall in particular contain provisions enabling appeals from any determination as to whether any or what compensation is payable to be brought, in such cases and subject to such conditions as may be prescribed by the regulations, before a referee or board of referees appointed by the Minister of Labour and National Service, after consultation with the Lord Chancellor or, where the proceedings are to be held in Scotland, after consultation with the Secretary of State,

and where any such provision is made as is specified in paragraph (*b*) of this subsection, the decision of the referee or board of referees shall be final.

(4) No regulations shall be made under this section unless a draft thereof has been laid before Parliament and has been approved by resolution of each House of Parliament.

Additional provisions as to referees appointed by Minister of Labour.

42.—(1) The Minister of Labour and National Service may, with the consent of the Treasury, pay, out of moneys provided by Parliament—

(*a*) to any referee or to the members of any board of referees appointed by him under either of the two last

PART V. —*cont.*

preceding sections such fees and allowances as he may with the consent of the Treasury determine ; and

(*b*) to persons giving evidence before any such referee or board such allowances as he may with the consent of the Treasury determine.

(2) Nothing in the Arbitration Acts, 1889 to 1934, shall be construed as applying to any proceedings before a referee or board of referees appointed under either of the two last preceding sections by the Minister of Labour and National Service.

Iron and Steel Arbitration Tribunal.

43.—(1) For the purpose of determining any question or dispute which under any provision of this Act or any regulations made thereunder is expressly required to be determined by " arbitration under this Act," or any matter in respect of which jurisdiction is given to the arbitration tribunal under this Act, there shall be established a tribunal called the Iron and Steel Arbitration Tribunal (in this Act referred to as " the arbitration tribunal ") and the arbitration tribunal shall, subject to the provisions of this section, hear and determine every such question, dispute or matter as aforesaid. **Establishment of Iron and Steel Arbitration Tribunal.**

(2) The arbitration tribunal shall, as the Lord Chancellor may direct, either sit as a single tribunal or sit in two or more divisions, and shall, for the hearing of any proceedings, be constituted as follows:—

(*a*) one member shall be a barrister or solicitor and he shall be the president of the tribunal;

(*b*) there shall be two other members of whom one shall be a person of experience in business and the other shall be a person of experience in finance:

Provided that, in relation to any proceedings which, under the provisions of this Part of this Act, are to be treated as Scottish proceedings, this subsection shall have effect as if for the words " barrister or solicitor " there were substituted the words " advocate or solicitor who has practised in Scotland ".

(3) The members of the tribunal shall be appointed by the Lord Chancellor, except that any member or members appointed by virtue of the proviso to the last preceding subsection shall be appointed by the Lord President of the

PART V. —*cont.*

Court of Session, and any member appointed by the Lord President shall only act in relation to proceedings which are to be treated as Scottish proceedings.

(4) The members of the arbitration tribunal shall hold office for such period as may be determined at the time of their respective appointments and shall be eligible for reappointment:

Provided that—

(*a*) a member may at any time by not less than one month's notice in writing to the Lord Chancellor, or the Lord President of the Court of Session, as the case may be, resign his office;

(*b*) the Lord Chancellor, or the Lord President of the Court of Session, as the case may be, may declare the office of any member vacant on the ground that he is unfit to continue in his office;

(*c*) if any member becomes bankrupt or makes a composition with his creditors his office shall thereupon become vacant.

(5) Where any such question, dispute or matter as aforesaid arises out of or in connection with the transfer of the securities of any company, or in connection with the recovery of assets of any company, or in connection with any transaction of any company or in connection with the licensing of any business, and the principal place of business of the company or the principal place at which the works comprised in the business are situated, as the case may be, is in Scotland, the proceedings before the tribunal in respect of the question, dispute or matter shall, subject to the provisions of this section, be treated as Scottish proceedings.

(6) If any member of the arbitration tribunal becomes, by reason of illness or other infirmity, temporarily incapable of performing the duties of his office, the Lord Chancellor, or the Lord President of the Court of Session, as the case may be, shall appoint some other fit person to discharge his duties for any period not exceeding six months at one time, and the person so appointed shall, during that period, have the same powers as the person in whose place he was appointed.

(7) The arbitration tribunal may, at any stage in any proceedings before them, refer to a person or persons appointed by them for the purpose, any question arising in the proceedings, not being a question which in the opinion of the tribunal is primarily one of law, for inquiry and report, and the report of any such person or persons may be adopted wholly or partly by the tribunal and, if so adopted, may be incorporated in an order of the tribunal.

Part V. —*cont.*

Procedure and enforcement of orders of arbitration tribunal.

44.—(1) The arbitration tribunal shall be a court of record and have an official seal, which shall be judicially noticed, and any order of the tribunal shall be enforceable in England and Wales as if it were an order of the High Court.

(2) The provisions of the Arbitration Acts, 1889 to 1934, with respect to—

(*a*) the administration of oaths and the taking of affirmations; and

(*b*) the correction in awards of mistakes and errors; and

(*c*) the summoning, attendance and examination of witnesses and the production of documents; and

(*d*) the costs of the reference and award,

shall, with any necessary modifications, apply in respect of any proceedings before the arbitration tribunal, but, save as aforesaid, the said Acts shall not apply to any such proceedings.

(3) The arbitration tribunal may, and if so ordered by the Court of Appeal shall, state in the form of a special case for determination by the Court of Appeal any question of law which may arise before them, and an appeal shall lie to the Court of Appeal on any question of law or fact from any determination or order of the arbitration tribunal on a claim under section eighteen of this Act against the directors of a company or on an application or claim under section twenty-two, section twenty-four or section twenty-five of this Act in respect of any transaction.

(4) Subject to the provisions of this section, the procedure in or in connection with any proceedings before the arbitration tribunal shall be such as may be determined by rules to be made by the tribunal with the approval of the Lord Chancellor.

(5) In relation to proceedings which, under the provisions of this Part of this Act, are to be treated as Scottish proceedings, this section shall have effect subject to the following modifications—

(*a*) for subsections (2) and (3) there shall be substituted the following subsections—

" (2) The arbitration tribunal shall have the like powers for securing the attendance of witnesses and the production of documents, and with regard to the examination of witnesses on oath and the awarding of expenses as if the arbitration tribunal were an arbiter under a submission.

(3) The arbitration tribunal may, and if so directed by the Court of Session shall, state a case for the opinion of that Court on any question of

PART V. —*cont.*

law arising in the proceedings, and an appeal shall lie to the Court of Session on any question of law or fact from any determination or order of the arbitration tribunal on a claim under section eighteen of this Act against the directors of a company or on an application or claim under section twenty-two, section twenty-four or section twenty-five of this Act in respect of any transaction.

An appeal shall lie, with the leave of the Court of Session or of the House of Lords, from any decision of the Court of Session under this subsection, and such leave may be given on such terms as to costs or otherwise as the Court of Session or the House of Lords may determine; "

(*b*) in subsection (4) for the reference to the Lord Chancellor there shall be substituted a reference to the Secretary of State,

and, in the case of any such proceedings, the tribunal shall, except in so far as for special reasons they think fit not to do so, sit in Scotland.

Transfer of proceedings from England to Scotland and from Scotland to England.

45.—(1) If, at any stage in any proceedings before the arbitration tribunal which would not otherwise fall to be treated as Scottish proceedings, the tribunal are satisfied that, by reason of the fact that questions of Scottish law arise or for any other reason, the proceedings ought thereafter to be treated as Scottish proceedings, the tribunal may order that they shall thereafter be so treated, and the provisions of this Part of this Act shall have effect accordingly.

(2) If, at any stage in any proceedings before the arbitration tribunal which would otherwise be treated as Scottish proceedings, the tribunal are satisfied that, by reason of the fact that questions of English law arise or for any other reason, the proceedings ought not to be treated as Scottish proceedings, they may make an order that the proceedings shall thereafter not be treated as Scottish proceedings and the provisions of this Part of this Act shall have effect accordingly.

Staff and expenses of arbitration tribunal.

46.—(1) The arbitration tribunal may, subject to the consent of the Treasury as to numbers, appoint such officers as they consider necessary for assisting them in the proper execution of their duties.

(2) There shall be paid to the members of the arbitration tribunal and to any such officer as aforesaid such remuneration (whether by way of salaries or fees) and such allowances as the Minister may, with the approval of the Treasury, determine.

PART V. —*cont.*

(3) There shall be paid to any person to whom proceedings are referred by the arbitration tribunal under section forty-three of this Act for inquiry and report such remuneration (whether by way of salary or fees) and such allowances as the tribunal may, with the approval of the Treasury, determine.

(4) Any such remuneration and allowances as aforesaid and any other expenses of the arbitration tribunal shall be defrayed in the first instance by the Minister out of moneys provided by Parliament, but the amounts from time to time so paid by the Minister shall be repaid on demand to the Minister by the Corporation.

Other miscellaneous and general provisions

Duty of Corporation, National Coal Board, Gas Council and Area Gas Boards to consult with respect to carbonisation development.

47. In planning and carrying out or securing the planning and carrying out of any programme of capital development or reorganisation of activities relating to carbonisation, the Corporation shall consult with the National Coal Board, with the Gas Council and with any Area Gas Board in whose area those activities are or are to be carried on; and in planning and carrying out any such programme in respect of their activities relating to carbonisation the National Coal Board shall consult with the Corporation.

Treatment of land after extraction of iron ore.

48. The Corporation shall take such steps as appear to them to be necessary to secure compliance by the publicly-owned companies with any conditions imposed or deemed to be imposed under the Town and Country Planning Act, 1947, with respect to the treatment of land after iron ore has been extracted therefrom with a view to restoring the land to its former or some other beneficial use.

Liability of Corporation for debts of publicly-owned companies.

49. If any sum required by any judgment or order to be paid by a company which at the time of the judgment or order is a publicly-owned company, or has at any time since the cause of action arose been a publicly-owned company, is not paid by the company within fourteen days from the date on which execution becomes leviable to enforce the judgment or order, the Corporation shall be liable to pay that sum, and that judgment or order shall be enforceable against the Corporation accordingly.

Where any such sum as aforesaid is required to be paid in respect of a liability arising under a contract made by the company, the cause of action shall be deemed, for the purposes of this section, to have arisen at the time when the contract was made.

Part V. —*cont.*

Constitution and proceedings of publicly-owned companies.

50.—(1) The provisions of the Ninth Schedule to this Act, which relate to the constitution and proceedings of publicly-owned companies, shall have effect in relation to any such company so long as it remains in public ownership, notwithstanding any enactment or other instrument applicable to the company, and when any company comes into public ownership or ceases to be in public ownership, the Corporation shall, as soon as possible thereafter, publish that fact in the London and Edinburgh Gazettes.

(2) The Corporation shall keep at their principal office a list, which shall be available for inspection during business hours, of the companies which are for the time being publicly-owned companies and of the other companies (to be shown separately) which are for the time being subsidiaries of the Corporation and shall furnish a copy of the list to any person on demand and on the payment of such reasonable charge as the Corporation may require.

Regulations.

51.—(1) Any power conferred by this Act to make regulations and the power conferred by section four of this Act to make orders shall be exercisable by statutory instrument and any such statutory instrument, except an instrument which is required to be laid before Parliament in draft, shall be subject to annulment in pursuance of a resolution of either House of Parliament.

(2) Any order made under this Act may be revoked or varied by a subsequent order made in like manner and subject to the like conditions.

Duty to furnish information.

52.—(1) It shall be the duty of every company specified in the Third Schedule to this Act, and every company which on the twenty-ninth day of October, nineteen hundred and forty-eight, was a subsidiary of such a company, and every person in whom are vested any property or rights which were on or after the said day property or rights of any company so specified or any subsidiary thereof or which are derived from such property or rights, and every other person who carries on any of the activities specified in the first column of the Second Schedule to this Act—

(*a*) to produce to any person authorised by the Minister, on production by that person, if so required, of a duly authenticated document showing his authority, such books of account, records and documents, to supply copies of and extracts from such books, records and documents, and to furnish such other information, as may reasonably be required by the Minister for the purposes of the provisions of this Act or by the Corporation for the purposes of Part II and Part IV of this Act ; and PART V. —*cont.*

(*b*) to provide facilities for the examination of any such books, records and documents, and the taking of copies thereof and extracts therefrom, and facilities for inspecting any property of the said company or other person for the purpose of verifying other information furnished by him as aforesaid:

Provided that this subsection shall not apply to any company after it has come into public ownership, and shall cease to have effect on the expiration of a period of twelve months from the general date of transfer, except so far as it applies for the purposes of Part III of this Act.

(2) If any person fails to comply with the requirements of this section, he shall be liable on summary conviction to a fine not exceeding one hundred pounds and, if the default in respect of which he is so convicted is continued after the conviction, he shall be guilty of a further offence and liable in respect thereof on summary conviction to a fine not exceeding five pounds for each day on which the default is so continued.

Disclosure of information.

53.—(1) No information relating to any individual business, or to the interest of any person in any shares, obtained under the preceding provisions of this Act, shall, without the previous consent in writing of the owner for the time being of that business or of that person be published or disclosed unless—

(*a*) the publication or disclosure is required in connection with the execution or for the purposes of this Act or of any regulation made thereunder; or

(*b*) the publication or disclosure is required for the purposes of any proceedings under this Act or any report of those proceedings.

(2) If any person publishes or discloses any information in contravention of this section, he shall be liable on summary conviction to imprisonment for a term not exceeding three months or to a fine not exceeding fifty pounds or to both such imprisonment and such fine or, on conviction on indictment, to imprisonment for a term not exceeding two years or to a fine not exceeding one hundred pounds or to both such imprisonment and such fine.

False information.

54. If any person, in giving any information, making any claim or giving any notice for the purposes of any provision of this Act or of any regulation thereunder, makes any statement which he knows to be false in a material

PART V. —*cont.*

particular, or recklessly makes any statement which is false in a material particular, he shall be liable on summary conviction to imprisonment for a term not exceeding three months or to a fine not exceeding one hundred pounds, or to both such imprisonment and such fine, or on conviction on indictment to imprisonment for a term not exceeding two years or to a fine not exceeding five hundred pounds, or to both such imprisonment and such fine.

Provisions as to prosecutions and as to offences by corporations.

55.—(1) Proceedings for an offence under this Act shall not, in England and Wales, be instituted except by or with the consent of the Director of Public Prosecutions.

(2) Where an offence under the last preceding section or any regulation made under this Act has been committed by a body corporate, every person who at the time of the commission of the offence was a director, general manager, secretary or other similar officer of the body corporate, or was purporting to act in such capacity, shall be deemed to be guilty of that offence unless he proves that the offence was committed without his consent or connivance and that he exercised all such diligence to prevent the commission of the offence as he ought to have exercised having regard to the nature of his functions in that capacity and to all the circumstances.

In this subsection the expression " director ", in relation to the Corporation or any other body corporate established by or under any enactment for the purpose of carrying on under national ownership any industry or part of an industry or undertaking, being a body corporate whose affairs are managed by the members thereof, means a member of the Corporation or that body corporate.

Service of notices, etc.

56. Any notice or other document required or authorised by or under this Act or regulations made thereunder to be given, delivered or served may, without prejudice to any provisions in that behalf of any such regulations, be given, delivered or served either—

(*a*) by delivering it to the person to whom it is to be given or delivered or on whom it is to be served; or

(*b*) by leaving it at the usual or last known address of that person; or

(*c*) by sending it in a prepaid letter which shall, in the case of a notice required to be served under section thirteen, section twenty, section twenty-one or section twenty-three, be a registered letter, addressed to that person at his usual or last known address; or

PART V. —*cont.*

(*d*) in the case of an incorporated company or body or the arbitration tribunal, by delivering it to the secretary or clerk of the company, body or tribunal at their registered or principal office or sending it in a prepaid letter addressed to the secretary or clerk of the company, body or tribunal at that office; or

(*e*) if it is not practicable after reasonable enquiry to ascertain the name or address of a person to whom it should be given or delivered, or on whom it should be served, as being a person having any interest in premises, by addressing it to him by the description of the person having that interest in the premises (naming them) to which it relates, and delivering it to some responsible person on the premises, or affixing it, or a copy of it, to some conspicuous part of the premises.

Expenses of the Minister.

57. Any administrative expenses incurred by the Minister or any other Minister of the Crown or Government department under this Act shall be paid out of moneys provided by Parliament, and any sums received by the Minister or by any other Minister of the Crown or Government department under or by virtue of this Act shall be paid into the Exchequer.

Saving for control powers of Ministers and Government departments under other enactments.

58. Nothing in this Act whereby any power to give directions or issue licences is conferred on the Minister shall be taken as affecting the exercise, in relation to any person as respects whom that power is exercisable, of any power conferred by or under any enactment other than this Act on any Minister of the Crown or Government department.

Interpretation.

59.—(1) In this Act the following expressions have the meanings hereby respectively assigned to them, that is to say:—

"arbitration tribunal" means the tribunal established under this Act;

"company" means a company within the meaning of the Companies Act, 1948 and a body incorporated by royal charter;

"consumer", in relation to any products, means a person who uses those products for manufacturing purposes or is engaged in the merchanting of those products;

"date of transfer" shall be construed in accordance with section eleven of this Act;

PART V. —*cont.*

" emoluments " includes any allowances, privileges or benefits, whether obtaining legally or by customary practice;

" employed " means employed as an officer and " employment " shall be construed accordingly;

" financial year "—

(*a*) in relation to the Corporation, means a period of twelve months ending with a day to be prescribed by regulation by the Minister so however that the first financial year shall be the period beginning with the passing of this Act and ending—

(i) if the interval between the general date of transfer under this Act and the first occurrence after that date of the prescribed day is more than six months, with that first occurrence; or

(ii) if the said interval is less than six months, with the second occurrence after the general date of transfer of the prescribed day;

and, in the case of any alteration of the prescribed day, the duration of the financial year as to which the alteration is first to have effect shall be shortened or extended as may be prescribed, by not more than six months, so as to end on the new prescribed day; and

(*b*) in relation to any publicly-owned company means the period for which the accounts of the company are made up for the purpose of being laid before the annual meeting, whether that period is a year or not;

" functions " means duties and powers;

" general date of transfer " shall be construed in accordance with section eleven of this Act;

" holding company " shall be construed in accordance with section one hundred and fifty-four of the Companies Act, 1948;

" iron ore " means ore containing not less than one fifth part by weight of iron;

" lease " includes an agreement for a lease and any tenancy agreement;

" loan capital ", in relation to any company, means the securities of the company which do not form part of the share capital;

" manufacturing purposes " includes the carrying-out of building operations and works of construction or civil engineering and the treatment of products by any process; Part V. —*cont.*

" Minister " means Minister of Supply;

" net revenue ", in relation to any company, means the revenue of that company, after deducting therefrom proper provision for the redemption of capital and all charges which are proper to be made to revenue account, including, in particular, proper provision for the depreciation of assets or for renewal of assets and provision for interest on the loan capital of the company;

" officer " includes a managing director and a director whose functions are substantially those of a managing director or of an employee but not any other director, and also includes a servant;

" operate ", in relation to any works, means to be actively engaged, whether alone or with others, in the management of the works, but a person shall not be deemed to operate works by reason only that he exercises an indirect control of the management thereof by means of the holding of shares in the operating company or otherwise;

" own ", in relation to land, includes hold on lease, and " rights of ownership ", in relation to land, means an estate in fee simple or a lease, and, in the case of property owned by a member of a partnership and held by him for the purposes of the partnership, the property shall be deemed to be owned by each of the members of the partnership;

" pension ", in relation to any person, means a pension, whether contributory or not, of any kind whatsoever payable to or in respect of him, and includes a gratuity so payable and a return of contributions to a pension fund, with or without interest thereon or any other addition thereto;

" pension fund " means a fund established for the purposes of paying pensions;

" pension rights " includes, in relation to any person, all forms of right to or eligibility for the present or future payment of a pension to or in respect of that person, and any expectation of the accruer of a pension to or in respect of that person under any customary practice and includes a right of allocation in respect of the present or future payment of a pension;

" pension scheme " includes any form of arrangements for the payment of pensions, whether subsisting by

PART V. —*cont.*

virtue of an Act, trust, contract, or otherwise and also includes any customary practice under which pensions are paid;

" products ", in relation to any activities, means the direct products of those activities and does not include any by-products thereof;

" publicly-owned company " means a company which for the time being qualifies for inclusion in any group of bodies corporate as respects which the following conditions are for the time being fulfilled, that is to say—

(*a*) every body corporate of the group is either the Corporation or a subsidiary of the Corporation; and

(*b*) every member of every company in the group is either the Corporation or another company in the group or a nominee of the Corporation or of a company in the group;

and " public ownership ", in relation to any company, shall be construed accordingly;

" securities ", in relation to a company, means any shares, debentures, debenture stock, loan stock, mortgages, income notes, income stock, funding certificates and securities of a like nature, but does not include

(*a*) any security forming part of the loan capital of the company, the terms of which enable it to be redeemed, either without notice or upon not more than one year's notice, at a price not exceeding the nominal amount of the security together with any outstanding interest, at any time after the creation of the security or the expiration of a period not exceeding one year after the creation of the security ; or

(*b*) any security forming part of the loan capital of the company which was issued after the sixteenth day of July, nineteen hundred and forty-five, and before the first day of October, nineteen hundred and forty-eight, and the terms of which require it to be redeemed within a period of ten years and seven days after the date of issue of the security ;

" share " includes stock resulting from the conversion of any share into stock;

" stockholders' representative " means, in relation to a company, the individual appointed under section seventeen of this Act to represent the holders of securities of that company;

"subsidiary" shall be construed in accordance with section one hundred and fifty-four of the Companies Act, 1948, and "wholly owned subsidiary" shall be construed in accordance with subsection (4) of section one hundred and fifty of that Act ;

"works" means—

(*a*) any factory (within the meaning of the Factories Act, 1937);

(*b*) any mine or quarry; or

(*c*) any premises used by way of trade or business for the purposes of the storage, transport or distribution of any articles or for the supply of electricity or other forms of power;

together with any machinery or equipment installed in any such factory, mine, quarry or premises as aforesaid and any land occupied for the purposes thereof:

Provided that the said expression does not include any factory, mine, quarry, premises or land outside Great Britain.

(2) For the purposes of this Act, the extension, alteration or re-equipment of any works, or the replacement of any machinery or equipment therein, shall not be deemed to change the identity of the works, and, in determining whether a company is operating any works at a particular time, any temporary closing of the works at that time owing to holidays, repairs or for any other reason, shall be disregarded.

(3) For the purposes of this Act, any reference to a company which comes into public ownership under Part II of this Act shall be construed as referring to any company whose securities vest in the Corporation by virtue of this Act and any company which comes into public ownership on the date of transfer of any such company as aforesaid and in consequence of the vesting of securities of any such company.

(4) References in this Act to any other enactment shall be construed as references to that enactment as amended by or under any other enactment, including this Act.

Application to Scotland.

60.—(1) The provisions of this section shall have effect for the purpose of the application of this Act to Scotland.

(2) For any reference to the Acquisition of Land (Authorisation Procedure) Act, 1946, there shall be substituted a reference to the Acquisition of Land (Authorisation Procedure) (Scotland) Act, 1947.

(3) The expression "mortgage" includes a heritable security, "disclaim" includes abandon, and the expression "disclaimer" shall be construed accordingly.

Part V. —*cont.*

(4) Any reference to a Bill in Parliament shall include a reference to an order under the Private Legislation Procedure (Scotland) Act, 1936.

(5) For the references in section seven of this Act to paragraph (*b*) of subsection (2) of section five and to section nine of the Town and Country Planning Act, 1947, there shall be substituted references to paragraph (*b*) of subsection (2) of section three and to section seven of the Town and Country Planning (Scotland) Act, 1947, and for the reference in section forty-eight of this Act to the Town and Country Planning Act, 1947, there shall be substituted a reference to the Town and Country Planning (Scotland) Act, 1947.

(6) Subsection (5) of section thirteen of this Act shall have effect as if for any reference to the Law Reform (Frustrated Contracts) Act, 1943, there were substituted a reference to the common law of Scotland with regard to the frustration of contracts.

(7) An order of the arbitration tribunal may be recorded for execution in the books of Council and Session and may be enforced accordingly.

Short title and extent.

61.—(1) This Act may be cited as the Iron and Steel Act, 1949.

(2) Without prejudice to the capacity of the Corporation under section two of this Act, this Act shall not extend to Northern Ireland.

SCHEDULES.

FIRST SCHEDULE.

Section 1.

Provisions as to Iron and Steel Corporation of Great Britain.

1. The Corporation shall be a body corporate with perpetual succession and a common seal and power to hold land without licence in mortmain.

2. The Corporation may act notwithstanding a vacancy among the members thereof.

3. The quorum of the Corporation shall be such number, not being less than three, as the Corporation may from time to time determine, and, where any member is disqualified from taking part in any deliberation or decision of the Corporation with respect to any matter, he shall be disregarded for the purpose of constituting a quorum of the Corporation for deliberating on or deciding that matter; and, subject as aforesaid, the Corporation may regulate their own procedure.

4. The Corporation shall appoint a secretary and may appoint such other officers and such servants as they may determine.

5. The application of the seal of the Corporation shall be authenticated by the signatures of the chairman or some other member of the Corporation authorised by the Corporation to authenticate the application of the seal thereof, and of the secretary of the Corporation or some person authorised by the Corporation to act in his stead in that behalf. 1ST SCH. —*cont.*

6. Every document purporting to be an instrument issued by the Corporation and to be sealed as aforesaid or to be signed on behalf of the Corporation shall be received in evidence and be deemed to be such an instrument without further proof unless the contrary is shown.

SECOND SCHEDULE.

IRON AND STEEL ACTIVITIES.

Sections 3, 11 & 29.

Activity.	Minimum output qualifying for acquisition.	Minimum output requiring licence.
1. The working and getting of iron ore ...	50,000 tons	5,000 tons
2. The smelting of iron ore in a blast furnace with or without other metalliferous materials	20,000 tons	5,000 tons
3. The production in the form of ingots of steel (including alloy steel)	20,000 tons	5,000 tons
4. The changing of the cross-sectional dimensions or cross-sectional shape of steel by hot rolling in a rolling mill	20,000 tons	5,000 tons

For the purposes of this Schedule and any provisions of this Act referring to this Schedule, where a company carries on a number of processes comprised in the activity numbered 4 above, the output of that company in carrying on that activity shall be the aggregate of the output of the products of all those processes:

Provided that, where the products produced by the company by any such process are subsequently subjected by that company to a further such process, such quantities of those products as are subjected to that further process shall be disregarded in calculating the output of the company in carrying on the first-mentioned process.

THIRD SCHEDULE.

COMPANIES WHICH FULFIL CONDITION FOR VESTING OF THEIR SECURITIES.

Section 11.

Arthur Lee & Sons (Hot Rolling Mills) Ltd.
Bairds & Scottish Steel Ltd.
Barrow Haematite Steel Co. Ltd.
Barrow Ironworks Ltd.
The Beckermet Mining Co. Ltd.
Birchley Rolling Mills Ltd.

3RD SCH. —*cont.*

The Briton Ferry Steel Co. Ltd.
Brown Bayley's Steel Works Ltd.
Brymbo Steel Works Ltd.
Burnell & Co. Ltd.
The Byfield Ironstone Co. Ltd.
The Bynea Steel Works Ltd.
Cargo Fleet Iron Co. Ltd.
Colvilles Ltd.
Consett Iron Co. Ltd.
The Cranford Ironstone Co. Ltd.
The Crosby Ironstone Co. Ltd.
Darlington & Simpson Rolling Mills Ltd.
Darwen and Mostyn Iron Co. Ltd.
The District Iron and Steel Co. Ltd.
Dixon's Ironworks Ltd.
Dorman, Long & Co. Ltd.
The Elba Tinplate Co. Ltd.
English Steel Corporation Ltd.
The Etna Iron & Steel Co. Ltd.
Firth Brown Steels Ltd.
Gjers, Mills & Co. Ltd.
The Glamorgan Hematite Iron Ore Co. Ltd.
The Glynhir Tin Plate Co. Ltd.
Goldendale Iron Co. Ltd.
The Gorse Galvanizing Co. Ltd.
Guest, Keen & Nettlefolds (South Wales) Ltd.
Guest Keen Baldwins Iron & Steel Co. Ltd.
Hadfields Ltd.
Hadfields Steels Ltd.
The Hallamshire Steel and File Co. Ltd.
The Hodbarrow Mining Co. Ltd.
Irchester Ironstone Co. Ltd.
James Pain Ltd.
J. J. Habershon & Sons Ltd.
John Bagnall and Sons Ltd.
John Baker & Bessemer Ltd.
John Lysaght's Scunthorpe Works Ltd.
Johnson's Iron and Steel Co. Ltd.
John Summers & Sons Ltd.
The Kettering Iron and Coal Co. Ltd.
The Lanarkshire Steel Co. Ltd.
The Lancashire Steel Corporation Ltd.
The Lilleshall Iron & Steel Co. Ltd.
The Llanelly Steel Co. (1907) Ltd.
The Loddington Ironstone Co. Ltd.
London Works (Barlows) Ltd.
The Millom & Askam Hematite Iron Co. Ltd.
Monks, Hall & Co. Ltd.
Naylor Benzon Mining Co. Ltd.
The Neath Steel Sheet and Galvanizing Co. Ltd.
The New Cransley Iron and Steel Co. Ltd.
The New Jarrow Steel Co. Ltd.
The Oxfordshire Ironstone Co. Ltd.
The Park Gate Iron and Steel Co. Ltd.

3RD SCH. —*cont.*

Partridge Jones & John Paton Ltd.
The Patent Shaft and Axletree Co. Ltd.
Pease & Partners Lingdale Ironstone Mines Ltd.
Pease & Partners Normanby Iron Works Ltd.
Raine & Co. Ltd.
The Renishaw Iron Co. Ltd.
Richard Hill Ltd.
Richard Thomas & Baldwins Ltd.
Round Oak Steel Works Ltd.
Samuel Fox and Co. Ltd.
The Santon Mining Co. Ltd.
The Sheepbridge Co. Ltd.
The Sheffield Forge and Rolling Mills Co. Ltd.
Shelton Iron, Steel & Coal Co. Ltd.
The Skinningrove Iron Co. Ltd.
Smith & McLean Ltd.
South Durham Steel and Iron Co. Ltd.
The Stanton Ironworks Co. Ltd.
The Staveley Iron and Chemical Co. Ltd.
The Steel Company of Scotland Ltd.
The Steel Company of Wales Ltd.
The Steel Company of Wales (Lysaght Works) Ltd.
Stewarts & Lloyds Ltd.
Taylor Bros. and Co. Ltd.
The Templeborough Rolling Mills Ltd.
Thos. Firth & John Brown Ltd.
The Ullcoats Mining Co. Ltd.
The United Steel Companies Ltd.
The Upper Forest and Worcester Steel and Tin Plate Works Ltd.
The Wellingboro' Iron Co. Ltd.
The Whitehead Iron and Steel Co. Ltd.
The Whitehead Thomas Bar and Strip Co. Ltd.
William Beardmore & Co. Ltd.
Wolverhampton Corrugated Iron Co. Ltd.
The Wolverhampton Steel and Iron Company (1946) Ltd.
W. Wesson & Co. Ltd.

FOURTH SCHEDULE.

ISSUE OF BRITISH IRON AND STEEL STOCK IN SATISFACTION OF COMPENSATION.

Sections 15 & 33.

PART I.

Provisions applicable to securities with values determined before the date of transfer.

1. This Part of this Schedule shall apply to securities in respect of which compensation is payable under Part II of this Act and the values of which are declared by order of the Minister to have been determined under the said Part II before the date of transfer.

2. The persons who, immediately before the date of transfer, were the holders of any securities to which this Part of this Schedule applies shall, by virtue of this Act, become instead on that date the holders of

4TH SCH. —*cont.*

the amount of British Iron and Steel Stock to which they are entitled under this Act in satisfaction of compensation payable in respect of the securities, and the transitional provisions contained in the Seventh Schedule to this Act shall apply pending the registration of that stock under that Schedule.

3. The interest on the said stock shall begin to accrue as from the date of transfer.

4. Where the holder of any securities becomes, under this Part of this Schedule, instead the holder of British Iron and Steel Stock, he shall hold that stock in the same right and on the same trusts and subject to the same powers, privileges, charges, restraints and liabilities as those in, on or subject to which he held those securities, and any provision of any deed, will, disposition or other instrument, and any statutory provision as to what is to be done by the holder of the securities or the redemption moneys thereof, shall, with any necessary modifications, have effect in relation to the said stock as it would have had effect in relation to the securities if they had not vested in the Corporation by virtue of this Act.

5. Nothing in this Part of this Schedule affects the making of any payment or distribution, in accordance with the provisions of Part II of this Act relating to the final payment of dividends and interest, to the holders of securities to which this Part applies.

PART II.

Provisions applicable to other securities.

1.—(1) The provisions of this Part of this Schedule shall apply to such of the securities in respect of which compensation is payable under Part II of this Act as are not securities to which Part I of this Schedule applies.

(2) In this Part of this Schedule, the expression " the conversion date " means, in relation to any securities, such date as may be specified in relation thereto by order of the Minister, being a date as soon as conveniently may be after the compensation payable in respect of those securities has been determined.

2. During the period beginning with the date of transfer and ending immediately before the conversion date, the persons who, immediately before the date of transfer, were the holders of securities to which this Part of this Schedule applies, shall have the following rights, namely,—

(*a*) the right to have the amount of British Iron and Steel Stock to which they are entitled under this Act in satisfaction of compensation payable in respect of the securities ; and

(*b*) the right to the payment of interest under paragraph 5 of this Part of this Schedule ;

and those rights shall be transferable in like manner as the securities were transferable, and the Corporation shall make arrangements for recording the persons who are the holders thereof ; and the documents of title which before the date of transfer related to those securities shall be treated as applicable to those rights.

4TH SCH. —*cont.*

3. The holders of any such rights shall, by virtue of this Act, become instead on the conversion date the holders of the amount of British Iron and Steel Stock to which they are entitled, and the transitional provisions contained in the Seventh Schedule to this Act shall apply pending the registration of the stock under that Schedule.

4. Interest on the said stock shall begin to accrue as from the date of transfer.

5.—(1) The Corporation shall, on such dates as the Minister may direct, make to the persons who are, at such times as may be specified in the direction, holders of any such rights as aforesaid, payments of interest not exceeding the amount which, in the opinion of the Corporation, will be found to have accrued on the British Iron and Steel Stock ultimately issued under paragraph 3 of this Part of this Schedule in satisfaction of compensation payable in respect of the securities.

(2) If the amounts paid by the Corporation under this paragraph in respect of any such rights are equal to or greater than the amount of interest which is found to have accrued, for the period beginning with the date of transfer and ending immediately before the conversion date, on the British Iron and Steel Stock created and issued as aforesaid in satisfaction of compensation payable in respect of the securities, the interest so found to have accrued shall be treated as discharged.

(3) If the amount paid as aforesaid is less than the amount found to have accrued as aforesaid on the British Iron and Steel Stock created and issued as aforesaid in satisfaction of compensation payable in respect of the securities, the amount so found to have accrued shall be treated as discharged to the extent of the amount so paid and the balance shall be added to and treated as part of the interest (being interest accruing on and after the conversion date), which first falls to be paid after the conversion date on that stock.

(4) Any amount payable under sub-paragraph (1) of this paragraph which has not been paid by reason that it has not been possible to discover the person entitled thereto or that the title thereto has not been established or that a cheque or warrant issued for the purpose of making payment thereof has not been encashed shall, for the purposes of sub-paragraphs (2) and (3) of this paragraph (but not for any other purposes) be treated as paid.

6. Where there are conferred on the holder of any securities the rights mentioned in paragraph 2 hereof, he shall hold those rights in the same right and on the same trusts and subject to the same powers, privileges, charges, restraints and liabilities as those in, on or subject to which he held those securities, and where the person entitled to those rights becomes under this Part of this Schedule instead the holder of British Iron and Steel Stock, he shall hold that stock in the same right and on the same trusts and subject to the same powers, privileges, charges, restraints and liabilities as those in, on or subject to which he held those rights; and any provision of any deed, will, disposition or other instrument and any statutory provision as to what is to be done by the holder of the securities or the redemption

4TH SCH. —*cont.*

moneys thereof shall, with any necessary modifications, have effect in relation to the said rights and the said stock as it would have had effect in relation to the securities but for the provisions of this Act.

7. Nothing in this Part of this Schedule affects the making of any payment or distribution in accordance with the provisions of Part II of this Act relating to the final payment of dividends and interest to the holders of securities to which this Part applies.

8. The power conferred on the Treasury by section seventy-four of the Finance Act, 1948, to direct, in connection with any statutory scheme for the carrying on of an industry under national ownership under which provision is made for the transfer of the undertaking of a body corporate, that as from the date of the transfer of the undertaking, transfers of the securities of the body corporate shall be exempt from all stamp duties, shall extend to a direction, as respects the rights referred to in paragraph 2 of this Part of this Schedule, that, as from the date of transfer, transfers of those rights shall be so exempt.

9. The Corporation shall have, in relation to any such rights, the like power as the company which issued the securities by virtue of which those rights are conferred has, in relation to those securities, under the Forged Transfers Acts, 1891 and 1892.

FIFTH SCHEDULE

Section 17.

PROVISIONS AS TO OFFICE OF STOCKHOLDERS' REPRESENTATIVE, MEETINGS OF HOLDERS OF SECURITIES AND INCIDENTAL MATTERS.

Appointment of stockholders' representative.

1. A stockholders' representative shall be appointed for each company by the holders of securities at a meeting of those holders called by the company, and shall be appointed not later than two months before the date of transfer.

Provided that, if the holders of securities fail to appoint a stockholders' representative within the required time, the Minister shall appoint such a representative.

Filling of vacancy in office of stockholders' representative.

2. Where the office of a stockholders' representative is about to become vacant or has become vacant, otherwise than in consequence of the completion of his duties under this Act, a stockholders' representative to fill the vacancy shall be appointed at a meeting of the holders of securities called—

(*a*) if the office is not yet vacant, by the stockholders' representative;

(*b*) if the office is vacant and the meeting is called before the date of transfer, by the company; or

(*c*) in any other case, by the Minister:

Provided that if the appointment has not been made within two months after the vacancy occurred, the appointment may be made by the Minister.

Notice of appointment.

3. Every stockholders' representative shall, as soon as practicable after his appointment, give notice in writing thereof to the Minister (unless he was appointed by the Minister) and to the registrar of companies

5TH SCH. —*cont.*

and shall, except in the case of a private company, insert an advertisement of his appointment in such one or more newspapers as in his opinion is or are best calculated to bring the appointment to the notice of the holders of securities; and the advertisement shall state the name of the company, the full name and description of the stockholders' representative, the address to which communications for him are to be sent and any other matters which the stockholders' representative thinks fit to include.

Resignation and removal from office.

4.—(1) Subject to the following provisions of this paragraph,—

(*a*) a stockholders' representative may resign his office by giving not less than one month's notice in writing to the Minister and, if he was appointed by the holders of securities, to every such holder, and his office shall become vacant on the date specified in the notice;

(*b*) a stockholders' representative may be removed from his office by a resolution passed at a meeting of the holders of securities, and his office shall become vacant on the passing of the resolution; and

(*c*) in the case of a stockholders' representative appointed by the Minister, who becomes, in the Minister's opinion, unfit to continue in his office or incapable of performing his duties, the Minister may, by notice in writing to the holders of securities and to the stockholders' representative, declare his office to be vacant and his office shall become vacant on the date specified in the notice.

(2) A resolution for the removal of a stockholders' representative shall not be moved unless fourteen days' notice of the intention to do so has been given to every holder of securities, and any such notice may be included in the notice calling the meeting and, if not so included, may be given in like manner as the notice calling the meeting.

(3) Where a stockholders' representative resigns his office,—

(*a*) he shall, before his resignation takes effect, call a meeting of the holders of securities for the appointment of his successor;

(*b*) if a new stockholders' representative is appointed before the day preceding the taking effect of his resignation, he shall, before it takes effect, deliver all books kept by him in the performance of his duties to his successor, and in any other case he shall deliver them to the Minister on the day before his resignation takes effect; and

(*c*) he shall furnish such information with respect to any matters which have arisen in connection with the performance of his duties as his successor may reasonably require.

(4) When a stockholders' representative is removed from his office, he shall deliver to the Minister, or as the Minister may direct, all books kept by him in the performance of his duties and shall furnish to the Minister such information relating to any matters which have arisen in connection with the performance of those duties as the Minister may reasonably require.

Death of stockholders' representative.

5.—(1) Where a stockholders' representative dies not less than fourteen days before the date of transfer, the company shall forthwith

5TH SCH. —*cont.*

give notice thereof to the Minister and to every holder of securities, and the aforesaid books shall as soon as practicable be delivered by his legal personal representative, or, so far as any of them are in the possession or control of any other person, by that other person, to the Minister or as the Minister may direct.

(2) Where a stockholders' representative dies less than fourteen days before, or on or after the date of transfer, the appropriate person specified in the preceding sub-paragraph shall forthwith give notice thereof to the Minister, and shall as soon as practicable deliver any such books as aforesaid to the Minister or as the Minister may direct.

Meetings of holders of securities.

6.—(1) A stockholders' representative may at any time call a meeting of holders of securities, and shall call such a meeting within twenty-one days of the service on him of such a requisition as is mentioned hereafter in this paragraph.

(2) A stockholders' representative may at any time call a meeting of such class or classes of holders of securities as are exclusively affected by any matter dealt with by him in the performance of his duties, so, however, that the business of any such meeting shall be confined to matters affecting exclusively the class or classes summoned to that meeting.

(3) A requisition to a stockholders' representative to call a meeting of holders of securities may be made by holders of securities representing not less than

(*a*) one-tenth of the aggregate nominal value of the securities of the company in respect of which compensation is payable under the Act; or

(*b*) one-fifth of the aggregate nominal value of any class of such securities;

and every requisition shall state the purpose of the meeting and shall be signed by the requisitionists and deposited with the stockholders' representative, and may consist of several documents in like form each signed by one or more of the requisitionists.

(4) If the stockholders' representative does not within twenty-one days after the deposit of the requisition proceed duly to call the meeting, the requisitionists, or any of them representing not less than one-twentieth of the aggregate nominal value of the said securities or, as the case may be, one-tenth of the aggregate nominal value of the said class of securities, may themselves call the meeting.

(5) Any expenses reasonably incurred by the requisitionists in calling a meeting under the last preceding sub-paragraph shall be repaid to them by the stockholders' representative and shall, except to the extent of any excess over the expenses which would have been incurred by the stockholders' representative if the meeting had been called by him, be deemed to be expenses incurred by him in the exercise of his functions.

Procedure for calling meetings.

7.—(1) A meeting of holders of securities shall be called by notice in writing served on every such holder not less than fourteen but not more than forty days before the date of the meeting.

(2) The said notice shall state that the meeting is to be held under this Schedule, shall state the purpose of the meeting and the place, date and time at which it is to be held, and shall draw attention to the provisions of this Schedule relating to proxies and specify the address at which proxies for the meeting are to be deposited, and, if the notice is served, a form of instrument for appointing a proxy, being the form set out in the Appendix to this Schedule, shall be served therewith. 5TH SCH. —*cont.*

(3) If a meeting is adjourned for more than two weeks this paragraph shall apply to the adjourned meeting as it applies to the original meeting, but save as aforesaid it shall not be necessary to give notice of an adjourned meeting.

(4) The accidental omission to give notice to, or the non-receipt of such notice by any holder of securities shall not invalidate the proceedings at the meeting.

Proxies.

8.—(1) An instrument appointing a proxy shall be in the form set out in the Appendix to this Schedule or in a form as near thereto as circumstances admit, and shall be in writing under the hand of the appointer or of an attorney duly authorised by him in writing, or, if the appointer is a corporation, shall be either under seal or under the hand of an officer or attorney duly authorised by the corporation in writing.

(2) A proxy need not be a holder of securities.

(3) The appointment of a proxy shall not be valid unless the instrument of appointment, and the power of attorney or other authority (if any) under which it is signed or a notarially certified copy of that power or authority, is deposited at the address specified for the purpose in the notice convening the meeting, not less than forty-eight hours before the time for holding the meeting.

(4) An appointment of a proxy may be made for one or more meetings, and any appointment for a meeting shall be deemed to apply to any adjournment thereof.

Procedure at meetings.

9.—(1) The holders of securities present in person at any meeting shall choose one of their number to be chairman, and for that purpose the persons present in person at any meeting shall be a quorum.

(2) Subject as aforesaid, holders of securities present in person or by proxy representing not less than one-twentieth of the aggregate nominal value of the securities of the company in respect of which compensation is payable under this Act shall be a quorum.

(3) If within half an hour of the time appointed for any meeting a quorum is not present, the chairman shall adjourn the meeting to a place, date and time determined by him (which shall if practicable be the same place and the same day and time in the following week), and if at that adjourned meeting a quorum is not present at the appointed time or within thirty minutes thereafter, the holders of securities present in person or by proxy shall be a quorum.

(4) At any meeting voting shall be by holders of securities present in person or by proxy, and a resolution put to the vote of the meeting

5TH SCH. —*cont.*

shall be decided on a show of hands unless a poll is (before or on the declaration of the result of the show of hands) demanded by persons present in person or by proxy representing not less than one-twentieth of the aggregate nominal value aforesaid.

(5) A poll, if so demanded, shall be taken in such manner as the chairman may direct, and on any such poll every holder voting shall be entitled to one vote for each pound by nominal value of the securities held by him.

(6) In the case of an equality of votes, whether on a show of hands or on a poll, the chairman of the meeting shall be entitled to a second or casting vote.

(7) An entry in any minutes or record kept with respect to any meeting by the stockholders' representative, or, before the appointment of stockholders' representative or during a vacancy in that office, by a person authorised in that behalf by the chairman of the meeting, shall, if signed by the chairman of the meeting or by the chairman of a meeting at which the minutes or record were or was read, be evidence of the matter so recorded.

(8) The proceedings at any meeting of holders of securities shal not be invalidated by any defect discovered after the meeting in the qualifications to vote of any person who voted at the meeting.

Voting by joint holders of securities, persons unfit to act and personal representatives.

10.—(1) In the case of a joint holding of securities, the vote of the senior joint holder who tenders a vote, whether in person or by proxy, shall be accepted to the exclusion of the votes of the other joint holders, and for this purpose seniority shall be determined by the order in which the names stand or stood in the relevant register or, if there is no register, in the relevant document of title.

(2) Any person who has been duly authorised to act on behalf of a holder of securities who is of unsound mind, may vote on his behalf.

Rights of trustees under trust deed.

11. Where any class of securities is secured by a trust deed and any trustee thereof is not a holder of securities, notice of any meeting of holders of securities held under this Schedule shall be served on him, and any such trustee may attend and speak at any such meeting, but shall not be entitled to vote.

Class meetings.

12. The provisions of paragraphs 7 to 11 inclusive of this Schedule shall with the requisite modifications apply in relation to a meeting of a class or classes of holders of securities as they apply in relation to a meeting of holders of securities of all classes.

Service upon holders of securities.

13.—(1) In addition to the methods of serving documents under section fifty-six of this Act, any notice or statement required under this Schedule to be served on, or given or sent to, any holder of securities who is entered in a register kept by the company or any record kept by the Corporation under Part II of the Fourth Schedule to this Act or under the Seventh Schedule to this Act, may be so served, given or sent by sending it in a prepaid letter addressed to that holder at the address entered in the register or record and, in the case of a joint holding of securities, may be sent to the senior holder as determined for the purpose of paragraph 10 of this Schedule.

5TH SCH. —*cont.*

(2) In the case of holders of bearer securities, any notice required under this Schedule to be given or served may be given by advertisement in such one or more newspapers as in the opinion of the person required to give or serve the notice is or are best calculated to bring the matter in question to the notice of those holders.

Corporations acting by representatives.

14. Any corporation who are holders of securities may by resolution of their directors or other governing body authorise such person as they think fit to act as their representative at any meeting of holders of securities; and the person so authorised shall be entitled to exercise the same powers on behalf of the corporation which he represents as that corporation could exercise if they were an individual holder of securities.

Minutes and records.

15.—(1) Every stockholders' representative shall keep proper books in which shall appear—

(*a*) a record of every matter dealt with by him in the performance of his duties under this Act; and

(*b*) minutes of the proceedings of every meeting of holders of securities, which shall include a record of every resolution passed.

(2) All such books shall be open at any reasonable hour to inspection by any holder of securities, or by any person authorised in writing in that behalf by any such holder.

Completion of duties.

16.—(1) As soon as practicable after he has completed his duties under this Schedule, each stockholders' representative shall—

(*a*) prepare a statement showing how he has carried out those duties;

(*b*) send to the Minister and to the Corporation and to every holder of securities copies of that statement; and

(*c*) call a meeting of the holders of securities.

(2) The stockholders' representative shall present the said statement at the said meeting and shall give any explanation thereof that may reasonably be required by any holder of securities present thereat.

Interpretation.

17.—(1) In this Schedule the expression "holder of securities", in relation to a stockholders' representative or the appointment of a stockholders' representative, means any holder of securities of the company for which he is or is to be appointed, or any holder of rights in respect of those securities under Part II of the Fourth Schedule to this Act, or any persons to whom those securities or rights are transferred.

(2) Expressions to which meanings are assigned by any provision of this Act shall bear the same meanings in any notice, minute or other document given, served or made under this Schedule.

APPENDIX

IRON AND STEEL ACT, 1949

Appointment of proxy for voting

[The].. [Company] Limited.

I/WE, ...

of.......................................in the County of......................

as a holder of (*a*)..in the above named company HEREBY APPOINT..

of.. [or, failing him,.........

.... of...]

as my/our proxy to vote for me/us on my/our behalf at the meeting of holders of securities to be held under the Fifth Schedule to the above-mentioned Act on the.................day of...........................19...,

and at any adjournment thereof, $\frac{\text{in favour of}}{\text{against}}$ (*b*) the resolution to be submitted.

Dated this.......................day of.............................19.......

........................(*c*)

(*a*) Name the class of the company's securities which are held or in respect of which rights under Part II of the Fourth Schedule to the above mentioned Act are held.

(*b*) Delete whichever is not desired; if neither is deleted, the proxy will vote as he thinks fit.

(*c*) Signature of appointer or attorney, or, in the case of a company, seal of the company, or signature of authorised officer or attorney.

SIXTH SCHEDULE.

Section 23.

ACQUISITION OF CERTAIN ASSETS.

1. Where a notice of acquisition is served under section twenty-three of this Act and is not withdrawn or revoked, there shall vest, by virtue of this Act, in such publicly-owned company as may be specified in the notice, on such date not earlier than the general date of transfer as may be agreed by the Corporation and the person on whom the notice is served (in this Schedule referred to as "the transferor") or, in default of agreement, as may be determined by arbitration under this Act—

(*a*) the rights to which the notice relates;

(*b*) in a case where the vesting of those rights involves the transfer of the operation of any works from the transferor to the company, all such property and rights of the transferor as may be agreed or determined as aforesaid to be property and rights held by the transferor wholly or mainly for the purposes of the business carried on by him at the works; and 6TH SCH. —*cont.*

(*c*) such other property and rights, being property or rights held by the transferor for the purposes of the business carried on by him, as may be so agreed or determined to be property which cannot reasonably be severed from property or rights referred to in sub-paragraph (*a*) or sub-paragraph (*b*) hereof and ought to be held in the same ownership.

2. All such agreements, whether in writing or not and whether or not of such a nature that the rights or liabilities thereunder could be assigned by the transferor, being agreements to which the transferor was a party and which are agreed by the Corporation and the transferor or, in default of agreement, determined by arbitration under this Act,—

(*a*) to have been entered into for the purposes of, or in connection with, the use or exercise of any property or rights which vest in pursuance of the notice of acquisition; and

(*b*) to be agreements which ought to be transferred with that property or those rights;

shall have effect as from the date aforesaid as if the publicly-owned company had been a party to the agreement, and for any reference (however worded and whether express or implied) to the transferor there were substituted as respects anything falling to be done on or after the said date, a reference to the publicly-owned company, and with such other modifications as may be necessary to transfer rights, liabilities and obligations under the agreement, so far as unperformed, from the transferor to the said company:

Provided that, if the arbitration tribunal are satisfied, on the application of the Corporation, that any such agreement could, if the transferor had been a company whose securities vested in the Corporation by virtue of this Act, have been disclaimed under Part II of this Act, they shall exclude that agreement from transfer under this paragraph.

3. There shall be paid by the Corporation to the transferor, by way of compensation for the property and rights vested or transferred in pursuance of the notice of acquisition, such amount as they might have been expected to realise if—

(*a*) they had been sold on the said date in the open market by a willing seller to a willing buyer;

(*b*) in so far as they comprised a business capable of being sold as a going concern, they had been so sold; and

(*c*) this Act had not been passed;

and any question as to the amount of compensation to be paid under this paragraph shall, in default of agreement between the Corporation and the transferor, be determined by arbitration under this Act.

4.—(1) All property and rights which vest under this Schedule shall vest free of any mortgage or other like encumbrance, but, where any such property or right was, immediately before the said date,

6TH SCH. —*cont.*

subject to a mortgage or other like encumbrance (other than a floating charge which will attach to the compensation), so much of any compensation as is properly referable to that property or right shall be paid to the encumbrancer, and if the property or right was subject to two or more mortgages or other like encumbrances, the payment shall be made to the encumbrancer whose mortgage or other encumbrance has priority.

(2) Where a payment is made to an encumbrancer under this paragraph, the encumbrancer shall be liable to account therefor as if it had accrued to him as proceeds of sale of the property or right in question arising under a power of sale exercised by him immediately before the said date.

5. The compensation payable under the preceding provisions of this Schedule by the Corporation shall be satisfied by the issue to the transferor of such amount of British Iron and Steel Stock as, in the opinion of the Treasury, was on the general date of transfer of a value equal to that compensation, regard being had (in estimating the value of the stock so issued) to the market value of government securities at or about the general date of transfer; and the Corporation shall be liable to pay interest on that amount, at such rates as the Treasury may determine, from the said date (that is, the date referred to in paragraph 1 of this Schedule) until the date of payment.

6. References in this Schedule to the vesting of rights shall, in the case of rights which have been granted out of or derived from greater rights held by the publicly owned company specified in the notice of acquisition so that the surrender thereof results in their merger in those greater rights, be construed as references to the surrender of the rights so granted or derived.

SEVENTH SCHEDULE

Section 33.

PROVISIONS AS TO BRITISH IRON AND STEEL STOCK

Issue and redemption of stock

Issue of stock.

1.—(1) All British Iron and Steel Stock (hereafter in this Schedule referred to as "stock") issued by the Corporation under this Act shall be redeemable stock and shall be created and issued in pursuance of a resolution or resolutions passed by the Corporation.

(2) The Corporation may issue such class or classes of stock as they may determine, but each class of stock shall have a distinctive title and shall be issued on the terms and subject to the conditions that all stock at any time belonging to that class shall bear the same rate of interest, shall become redeemable on the same conditions and shall in all other respects be of the same character.

(3) Subject to the provisions of this Act, stock may be issued at such date, by such method, for such amount, at such price, at such rate of interest and subject to redemption on such conditions, as the Corporation with the consent of the Minister and the approval of the Treasury may determine.

(4) The Corporation may, by resolution, revoke at any time, in whole or in part, any resolution passed by them for the creation of any stock, in so far as the stock has not been issued thereunder, and notice of any such revocation shall forthwith be given to the Minister. 7TH SCH. —*cont.*

Redeemability of stock.

2.—(1) Unless previously redeemed or required by this Act to be cancelled, stock shall be redeemed immediately at the expiration of such period as the Corporation with the consent of the Minister and the approval of the Treasury may determine in accordance with the preceding paragraph.

(2) Unless redeemed by means of periodical drawings, no stock (other than stock required by this Act to be cancelled) shall be liable to be redeemed before the expiration of the latest date for redemption specified in the resolution creating such stock unless at least three months' notice of intention to redeem the same has been given.

Redemption Fund Accounts.

3.—(1) For the redemption of stock there shall be carried in each year of the prescribed period applicable to the stock to an Account (in this Schedule referred to as " a Redemption Fund Account ") of the Corporation a sum or sums for redeeming or purchasing such stock.

(2) There shall be a separate Redemption Fund Account for all the stock to which each particular prescribed period relates.

(3) The sums to be carried to each Redemption Fund Account shall be either:—

(*a*) equal yearly or half-yearly sums sufficient without accumulations to redeem or purchase the stock to which the Account relates at the expiration of the prescribed period, or

(*b*) equal yearly or half-yearly sums which, if accumulated at compound interest with such rests and at such rate as the Corporation with the consent of the Minister and the Treasury may from time to time determine, would be sufficient to redeem or purchase the stock to which the Account relates at the expiration of such period, and, in addition thereto, a sum equivalent to interest on the amount from time to time standing to the credit of the Account at the rate on which the aforesaid equal yearly or half-yearly sums are based.

(4) The first contribution to each Redemption Fund Account shall be made within twelve months, or, when the sums are to be carried to the Redemption Fund Account half-yearly, within six months. from the commencement of the prescribed period.

Application of sums in Redemption Fund Accounts.

4.—(1) The Corporation shall from time to time apply the whole or such part as may be necessary of any sums standing to the credit of any Redemption Fund Account in or towards the redemption, according to the terms of issue, of the stock to which the Account relates.

The Corporation may, in so far as any such sums are not required to be applied as aforesaid, from time to time apply those sums in purchasing any stock to which the Account relates, not being stock

7TH SCH. —*cont.*

of which the terms of issue require redemption to take place by means of periodical drawings (whether or not such drawings are combined with any other method of redemption).

(2) In so far as such sums have not been applied under the preceding sub-paragraph, the Corporation shall invest the said sums in statutory securities and the annual proceeds arising from every such investment shall be carried to revenue account.

(3) Where the sums to be carried to any Redemption Fund Account have been calculated in the manner provided by sub-paragraph (3) (*b*) of the last preceding paragraph and money standing to the credit of that Account has been applied under sub-paragraph (1) of this paragraph, the Corporation shall carry to the credit of that Account each year an additional sum equivalent to the interest which would have been produced by the money so applied if invested at the rate on which the equal yearly or half-yearly payments to that Account are based:

Provided that, if the cost of the stock purchased (calculated in accordance with sub-paragraph (1) (*b*) of the next but one following paragraph) exceeds the amount payable on redemption of the stock, no such additional sum shall be carried to the credit of that Account in respect of the amount of the excess.

(4) Notwithstanding anything in the preceding provisions of this paragraph, the Corporation may, with the consent of the Minister and the approval of the Treasury, employ for any of the purposes for which money may be borrowed by the issue of stock any money for the time being standing to the credit of any Redemption Fund Account and for such purposes as aforesaid sell any securities in which the last mentioned money is for the time being invested and employ the proceeds:

Provided that no money standing to the credit of a Redemption Fund Account shall be so employed unless provision is made for replacing the same, together with any loss of interest occasioned by reason of so employing such money, within the prescribed period.

Provision for adjustment of Redemption Fund Accounts.

5.—(1) If it appears to the Corporation at any time that the amount standing to the credit of, or the investments representing, any Redemption Fund Account, together with the future yearly or half-yearly sums to be carried to such Account under this Schedule, will probably not be sufficient at the expiration of the prescribed period to make up a sum equal to the amount required to redeem the stock to which that Account relates, the sums to be carried to such Account shall be increased annually or otherwise to such extent as will make up the deficiency; and if it appears to the Minister that any such increase is necessary the Corporation shall increase the sums to be carried to that Account to such extent as the Minister may direct.

(2) If the Corporation desire to accelerate the redemption of the stock to which any Redemption Fund Account relates, they may, with the approval of the Minister and the Treasury, increase, annually or otherwise, the sums to be carried to the Account.

7TH SCH. —*cont.*

(3) If it appears to the Corporation at any time that the amount standing to the credit of, or the investments representing, any Redemption Fund Account, together with the future yearly or half-yearly sums to be carried to that Account under this Schedule, will probably be more than sufficient at the expiration of the prescribed period to make up a sum equal to the amount required to redeem the stock to which that Account relates, the sums to be carried to that Account may be reduced, either temporarily or permanently, to such extent as the Minister may permit or the Corporation may, for so long as the Minister may permit, cease to carry any further sums to that Account.

(4) Any surplus standing to the credit of any Redemption Fund Account after the redemption or purchase of the stock and the discharge of the whole of the money to which the Account relates, shall be applied to such purpose or purposes as the Corporation, with the consent of the Minister, may determine.

Provisions as to Redemption Fund Accounts.

6.—(1) In any year when money standing to the credit of any Redemption Fund Account is applied in the purchase of any stock to which such Account relates, the Corporation shall, during the year in which the purchase is made, effect the following adjustments:—

(*a*) (i) the amount of the gross accrued interest on the stock purchased to the date of purchase shall be charged to the appropriate Interest Account and carried to the Redemption Fund Account, or

(ii) if the stock purchased is transferable without a right to the next following interest payment, the amount of the gross rebate interest from the date of purchase to the next following interest date shall be charged to the Redemption Fund Account and carried to the Interest Account; and

(*b*) if the cost of the stock purchased (inclusive of brokers' commission and other costs of purchase) after deduction of the amount referred to in sub-paragraph (*a*) (i) hereof or with the addition of the amount referred to in sub-paragraph (*a*) (ii) hereof, as the case may be, exceeds the amount payable on redemption of the stock, the amount of the difference shall be carried to the Redemption Fund Account.

(2) Where the Corporation in the exercise of a statutory borrowing power create and issue any stock for the purpose of re-borrowing money or of redeeming any stock, they shall make such adjustments (if any) as may be necessary in the Redemption Fund Accounts.

Unclaimed stock

7.—(1) If at the end of a period of three years from the date at which any class of stock was redeemed, the Corporation, by reason of the holder of any stock of that class not being forthcoming or by reason of any doubt as to the ownership of any such stock, have not been able to make payment of the principal moneys which became payable on the redemption of the stock, to the person entitled to receive the same, or any warrant issued for the payment of any

7TH SCH. —*cont.*

redemption moneys has not been encashed, the Corporation shall invest in statutory securities a sum equal to the amount required to make such payment, or the amount of the unencashed warrant, as the case may be.

(2) Any sum invested by the Corporation as aforesaid shall, unless realised for the purpose of satisfying any claim in respect of the stock represented by the same, be kept invested and the income therefrom shall be invested in statutory securities for a further period of three years after which time the Corporation may apply the said sum and the accumulations thereof to such purposes as the Minister and the Treasury may approve, but without prejudice to the rights of any person to recover the said sum.

Provisions as to stock registers and transfers

Appointment of Registrar of stock.

8.—(1) The Corporation shall appoint and thereafter keep appointed on such terms and subject to such conditions and instructions not inconsistent with this Schedule as they think expedient, any person (whether the Bank of England, an officer of the Corporation, or any other person) approved by the Minister and the Treasury (in this Schedule referred to as " the registrar "), to act as registrar of stock for the purposes of this Schedule, and different registrars may be appointed of different classes of stock.

(2) Subject to the conditions on which any stock is issued, the Corporation may at any time with the approval of the Minister and the Treasury determine the appointment of the registrar for the time being of that stock and appoint another registrar in his place.

Register of stock.

9.—(1) The registrar shall keep a register relating to each class of stock (in this Schedule referred to as the " stock register ") in which shall be entered the name, address and description of each holder from time to time of stock of the class to which the stock register relates and the amount of stock held by him.

(2) The stock register shall be prima facie evidence of any matter entered therein in accordance with the provisions of this Schedule and of the title of the persons entered therein as holders of stock.

(3) For the purposes of the redemption of any stock, the stock register relating thereto may be permanently closed to transfers of that stock on any day not more than one month immediately preceding the date on which the redemption is to take effect.

Stock certificates.

10.—(1) Every person whose name is entered in the stock register as a holder of stock shall be entitled, without payment, to a certificate of the proprietorship thereof (in this Schedule referred to as a " stock certificate ") specifying the amount of stock to which the holder is entitled.

(2) A stock certificate shall be prima facie evidence of the title of the person therein specified to the amount of stock therein specified.

(3) If a stock certificate is worn out or damaged or is lost or destroyed, the registrar, on production and surrender of the worn out or damaged certificate, or, as the case may be, on proof to his

satisfaction of the loss or destruction, and on receiving such indemnity as he may require, and on payment of a fee not exceeding two shillings and six pence, may issue a duplicate stock certificate in lieu thereof. 7th Sch. —cont.

(4) An entry of the issue of a stock certificate, and of a certificate issued as aforesaid in lieu thereof, shall be made in the stock register.

(5) If the names of two or more persons are entered in the stock register relating to any stock, nothing contained in the foregoing provisions of this paragraph shall be construed as requiring the registrar to issue more than one stock certificate in respect of that stock; and delivery of a stock certificate to one of the several joint holders shall be sufficient delivery to all of them.

(6) If the registrar is the Bank of England, the stock certificate shall bear a facsimile signature of the Chief Accountant of the Bank of England.

Transfer of stock.

11.—(1) Stock shall be transferable by instrument in writing in any usual or common form executed by all parties to the transfer except that stock shall not be transferable in any amount which is a fraction of one penny.

The instrument of transfer and the relevant stock certificate shall be delivered to and retained by the registrar. If the relevant stock certificate cannot be delivered up, such indemnity shall be given to the registrar in respect thereof as he may require.

(2) The execution of the instrument of transfer by each party, other than a corporate body, shall be attested by a credible witness (not being a party thereto or the spouse of a party thereto) who shall append to his signature a statement of his usual place of abode or place of business and of his occupation or description.

(3) If the execution of an instrument of transfer by a party is otherwise than by signature of that party, the registrar may require evidence to his satisfaction that the effect of the instrument was understood by that party.

(4) Not more than one class of stock shall be included in any instrument of transfer and the instrument shall relate only to the transfer and shall not contain any recital, trust, power or proviso whatsoever.

(5) An authority to execute an instrument of transfer of stock must be in writing and the execution of the instrument containing any such authority must be attested by a credible witness.

(6) The registrar before giving effect to a transfer may require evidence to his satisfaction of the right of the transferor to make the transfer.

(7) Subject as hereinafter provided, the registrar shall, after the foregoing provisions of this paragraph have been complied with, give effect to a transfer by entering in the stock register such particulars as are necessary to show the effect of the transfer; and the transferee shall be entitled to a new stock certificate in his name:

Provided that the registrar shall not be obliged to give effect to a transfer before the expiration of ten days after the day on which the instrument of transfer was delivered to him or, where he has before

7TH SCH. —*cont.*

the expiration of the said ten days given notice to the transferor (or any one of two or more transferors) of the proposed transfer, before the expiration of three days after the day on which a reply would be delivered to the registrar in the ordinary course of post if it had been posted immediately after receipt of the notice and the notice had been received by the transferor in the ordinary course of post, whichever period is the longer.

(8) A transferor of stock shall be deemed to remain the owner thereof until the registrar has given effect to the transfer.

Transmission of stock on death, etc.

12.—(1) Stock standing in a stock register in the name of a deceased person shall be transferable by his personal representative; but in a case in which there are two or more personal representatives of the deceased person the registrar may decline to give effect to the transfer unless the instrument of transfer is executed by all the representatives.

(2) The production to the registrar of any document which by law is sufficient evidence of probate of the will or letters of administration of the estate, or confirmation as executor, of a deceased holder having been granted to some person, shall be accepted by the registrar as sufficient evidence of the grant. For the purposes of this paragraph, confirmation as executor of a deceased holder may be accepted by the registrar notwithstanding that it has not been resealed in England.

(3) The production of probate or letters of administration granted by any court in the Isle of Man or in any of the Channel Islands having authority to grant probate or letters of administration, or of a certified copy of probate or letters of administration so granted, shall, subject as hereinafter provided, be sufficient authority to the registrar (notwithstanding any defect or circumstance whatsoever affecting the validity of the probate or letters of administration in question) to transfer stock entered in a stock register in the name of a deceased person to the person to whom the probate or letters of administration were granted, or as directed by that person:

Provided that the registrar shall not transfer any stock in pursuance of the provisions of this sub-paragraph except on production to him of a certificate from the Commissioners of Inland Revenue showing either that all death duties payable in Great Britain in respect of the stock have been paid or that no duty is payable in Great Britain in respect thereof.

(4) If two or more persons are registered as holders of any stock, those persons shall be deemed to be joint holders with right of survivorship between them.

Description of stockholders as trustees or by official titles.

13.—(1) The holder of an amount of stock of any class may be described in the stock register relating to stock of that class as trustee of a specified trust or as a trustee without specifying a trust.

(2) Except as provided by the preceding sub-paragraph, or by the subsequent provision of this Schedule relating to stock held on trust subject to the law of Scotland, no notice of any trust (express, implied or constructive) shall be entered in any stock register required to be kept by this Schedule or in a stock certificate or be receivable

by the registrar; and, notwithstanding that in relation to an amount of stock of any class standing in the stock register relating to stock of that class on a particular account the holder thereof is described as mentioned in the said provision, or there has been furnished to the registrar any such statutory declaration as is mentioned in the said provision, it shall not be necessary for the registrar to enquire concerning the propriety of anything done in relation to that amount of stock or any part thereof. 7TH SCH. —*cont.*

(3) If the holder of an amount of stock of any class occupies an office or official position, his official description may be entered in the stock register relating to stock of that class in lieu of his name; and, if in relation to an amount of stock of any class any such official description is so entered, an instrument of transfer or an instrument containing directions with respect to the payment of interest on an amount of stock of any class entered in the stock register relating to stock of that class in the name of a holder of an office (whether it is so entered alone or jointly with another) or the payment or reinvestment of money attributable to any such amount or any part thereof which becomes payable by reason of the redemption (whether wholly or in part) of stock of that class shall, if executed by the person for the time being occupying that office or position, be as effectual as if his name were entered as the holder of that amount.

Payment of interest and redemption moneys

14.—(1) For the payment of the interest on stock there shall in each year be carried to accounts kept by the Corporation (in this Schedule referred to as " Interest Accounts ") a sum or sums equal in the aggregate to the amount of all interest payable or accrued due during the year. Maintenance and use of Interest Accounts.

(2) There shall be a separate Interest Account distinguished by a number or otherwise for each class of stock.

(3) Any interest paid on stock shall be charged to the appropriate Interest Account.

15. Interest on stock shall be paid at such half-yearly or other intervals and on such days, as the Corporation with the approval of the Minister and the Treasury may determine on the issue of the stock. Dates for payment of interest.

16.—(1) Interest on stock and any money becoming payable to the holder of stock by reason of the redemption thereof shall be paid by the Corporation through the registrar by means of warrants sent through the post to the registered address of the person registered as the holder of the stock in respect of which the interest or other money is payable (or in the case of joint holders of stock to the registered address of that one of them whose name stands first on the stock register relating to that stock) or to such person and to such address as the holder (or in the case of joint holders all the holders) may direct in writing addressed to the registrar: Payment of interest and redemption moneys on stock.

Provided that in the case of the redemption of any stock the registrar may, if he thinks fit, require the holder or the joint holders

7TH SCH. —*cont.*

(as the case may require) of any amount of the stock to make application in writing specifying the person to whom payment of the money payable on the redemption of the stock is to be made and the address to which the warrant is to be sent; and upon receipt of such application the registrar shall make the payment in accordance therewith.

(2) The posting of any such warrant as aforesaid in a prepaid letter directed to such address as aforesaid shall be a good discharge to the Corporation and the registrar for such interest or other money.

(3) Every warrant as aforesaid so sent by post shall be deemed to be a cheque and the Corporation and the registrar in relation thereto shall each be deemed to be a banker within the meaning of the Bills of Exchange Act, 1882.

(4) For the purposes of this paragraph the personal representative or personal representatives of a deceased holder shall be deemed to be the holder or joint holders (as the case may require) of the amount of stock held by that holder immediately before the date of his death.

(5) Where two or more joint registered holders of any stock have given a direction as to the payment of interest thereon and one of them becomes of unsound mind, such direction shall not thereby become void.

(6) Before paying any interest on stock or any money becoming payable to the holder of stock by reason of the redemption thereof the registrar may, if the circumstances of the case appear to him to make it expedient, require the production of such evidence of the title of any person claiming the right to receive payment thereof (which evidence may include the making of a statutory declaration by one or more competent persons) as he sees fit.

(7) Nothing in the preceding provisions of this paragraph shall be taken to prevent the Bank of England and any other banker from making special arrangements for the payment of any interest on stock or any money becoming payable to the holder of stock by reason of the redemption thereof, which is receivable by such other banker, either on his own behalf, or as nominee of the holder of stock, or otherwise.

Unclaimed interest and redemption moneys.

17.—(1) Subject to the provisions of this paragraph, if a warrant for the payment of interest or redemption moneys has not been encashed and has become defaced, lost or destroyed, or, if no such warrant has been issued and the interest or redemption moneys have not otherwise been paid, the registrar shall, on the application of a person who proves to his satisfaction that he is entitled to receive the payment, and furnishes to the registrar such indemnity as he may require and produces and surrenders to him the unencashed warrant (if any) concerned or proves to his satisfaction its loss or destruction, issue to that person a fresh warrant or a warrant, as the case may be.

(2) When any warrant for the payment of interest has not been encashed or the interest has not otherwise been paid for six years, the Corporation may apply the amount then accrued due, and all interest subsequently accruing due, to such purposes as they think fit, but without prejudice to the rights of any person to recover the same.

(3) No interest shall be payable on any sum due in respect of interest on stock or the redemption of stock after the date on which the interest or redemption moneys became payable.

7TH SCH. —*cont.*

Striking the balance for payment of interest on stock.

18. The registrar may strike the balance for a payment of interest on any stock on any day not being more than thirty-seven days before the day on which the interest on that stock is payable; and any person who is on the day on which the balance is so struck entered in the stock register relating to that stock as a holder of that stock shall as between himself and any transferee of that stock be entitled to the then current payment in respect thereof.

Special provisions as to Scotland

Stock held by persons under 21 years of age domiciled in Scotland.

19.—(1) Where an amount of stock of any class is transferred by or to a person under twenty-one years of age domiciled in Scotland, the requirements of paragraph 11 of this Schedule shall, so far as that person is concerned, be deemed to have been complied with if the instrument of transfer is executed, in the case of a pupil, on behalf of the pupil by his tutor, or, in the case of a minor, by the minor and his curator.

(2) The registrar may give effect to written directions with respect to the payment of interest on an amount of stock of any class entered in the stock register relating to stock of that class in the name of a person under twenty-one years of age domiciled in Scotland (whether it is so entered alone or jointly with another) or the payment or reinvestment of money attributable to any such amount or any part thereof which becomes payable by reason of the redemption (whether wholly or in part) of stock of that class, if the instrument containing the directions is executed as aforesaid.

(3) In a case where a pupil or a minor has three or more tutors or curators, the preceding provisions of this paragraph shall have effect as if for any reference therein to a tutor or a curator, there were substituted a reference to a quorum of his tutors or curators, being a quorum entitled to act by virtue of an Act of Parliament, a deed or an order of the court.

(4) The registrar may decline to give effect to an instrument purporting to be executed in accordance with this paragraph unless there is furnished to him a statutory declaration made in accordance with the preceding provisions of this paragraph that the person by or to whom the amount of stock in question is transferred, or in whose name it is entered, as the case may be, is a pupil or a minor and is domiciled in Scotland, and that any person executing the instrument for that person as his tutor or curator is his tutor or curator, and, in the case where there are three or more tutors or curators, that the persons executing the instrument in that capacity form a quorum of such tutors or curators.

(5) In this paragraph the following expressions have the meanings hereby respectively assigned to them, that is to say:—

"curator", in relation to a minor, includes an administrator at law, a curator nominate, a curator chosen by the minor

7TH SCH. —*cont.*

with the sanction of the court or appointed by the court, and a person assumed to act as curator by virtue of an Act of Parliament;

"tutor" includes an administrator at law, a tutor by virtue of, or appointed under, an Act of Parliament, a tutor dative, a tutor nominate, a person assumed to act as tutor by virtue of an Act of Parliament and a factor loco tutoris.

Stock held on trust subject to law of Scotland.

20.—(1) Where an amount of stock of any class is transferred by or to three or more persons who are trustees of a trust the execution of which is governed by the law of Scotland, the requirements of paragraph 11 of this Schedule shall, so far as those persons are concerned, be deemed to have been complied with if the instrument of transfer is executed by a quorum of those persons being a quorum entitled to act by virtue of an Act of Parliament, a deed or an order of the court; but the registrar may decline to recognise the instrument unless:—

(*a*) in the case of a transfer by the said persons, the amount is standing in the stock register relating to stock of that class on an account as respects which there has been furnished to the registrar a statutory declaration that the amount of stock from time to time standing thereon forms part of such a trust as aforesaid;

(*b*) in the case of a transfer to the said persons:—

(i) the amount is to stand as aforesaid; or

(ii) if the amount is not to stand as aforesaid, there is furnished to the registrar a statutory declaration that the amount of stock from time to time standing on the account whereon the first-mentioned amount is to stand, forms part of such a trust as aforesaid.

(2) Where there has been furnished to the registrar a statutory declaration that the amount of stock of a specified class from time to time standing on a particular account in the stock register relating to stock of that class forms part of a trust the execution of which is governed by the law of Scotland, the following provisions shall have effect:—

(*a*) the registrar may give effect to written directions with respect to the payment of interest on that amount or the payment of money attributable to that amount or any part thereof which becomes payable by reason of the redemption (whether wholly or in part) of stock of that class, if the instrument containing the directions is executed by a quorum of the persons who are for the time being trustees of the said trust;

(*b*) in the event of the appointment of a new trustee by deed of assumption, or by the court, the registrar shall accept as sufficient evidence of transmission to the new trustee (whether in conjunction or not with any trustee remaining in office):—

(i) a deed of assumption executed in pursuance of section twenty-one of the Trusts (Scotland) Act, 1921, with a minute of acceptance by the assumed trustee, or an official or duly authenticated extract of such deed and minute; or

(ii) a certified copy of the interlocutor of the court;

as the case may be;

(c) in the event of the resignation of a trustee the registrar shall accept as sufficient evidence of the divestiture of the resigning trustee a minute of resignation executed in pursuance of section nineteen of the Trusts (Scotland) Act, 1921, with an acceptance of intimation of resignation by the continuing trustee or trustees, or an official or duly authenticated extract of such minute and acceptance;

(d) in the event of the removal of a trustee by the court, the registrar shall accept as sufficient evidence of the removal and divestiture a certified copy of the interlocutor of the court.

(3) In this paragraph the expressions "trust", "trustee" and "the court" have the same meanings as in the Trusts (Scotland) Act, 1921.

7th Sch. —*cont.*

Execution of instruments in Scotland on behalf of blind persons or persons unable to write.

21.—(1) As respects the transfer of an amount of stock of any description, the requirements of paragraph 11 of this Schedule shall, in so far as any party to the transfer who is blind or unable to write is concerned, be deemed to have been complied with if the instrument of transfer is executed on his behalf in accordance with section eighteen of the Conveyancing (Scotland) Act, 1924.

(2) Written directions with respect to the payment of interest on an amount of stock of any description or the payment or reinvestment of money attributable to an amount of stock of any description which becomes payable by reason of the redemption (whether wholly or in part) of stock of that description may, if the instrument containing the directions is executed in accordance with the said section eighteen on behalf of a person who is blind or unable to write, be given effect to by the registrar.

Transitional provisions relating to compensation stock

Provision as to holders of stock whose names are not entered in the stock register.

22.—(1) Where by virtue of the provisions of the Fourth Schedule to this Act, any person being the holder of any securities to which the said Schedule applies, becomes instead the holder of any stock, then until the name of that person is duly entered in the stock register with respect to that stock, the provisions of this paragraph shall apply in relation to that stock notwithstanding anything to the contrary in any other provisions of this Schedule.

(2) The Corporation shall cause a record to be kept of the amount of stock attributable to the said securities of which the said person becomes the holder as aforesaid, and such record shall be prima facie evidence of the title of the holder to that amount of stock.

(3) Any reference in sub-paragraph (1) of paragraph 11 of this Schedule or in condition (a) of sub-paragraph (2) of paragraph 20 of this Schedule when the provisions thereof apply by virtue of sub-paragraph (1) of paragraph 25 of this Schedule to the registrar or to a stock certificate shall be construed respectively as a reference to the Corporation or to the stock or share certificate or other docu-

7TH SCH. —*cont.*

ment which under the provisions of paragraph 23 of this Schedule is to be treated as applicable to the stock, and any reference in paragraph 16, sub-paragraph (1) of paragraph 17, paragraph 18 or sub-paragraph (2) of paragraph 21 of this Schedule to the registrar or to the stock register shall be construed, in relation to the payment of interest on stock, as including respectively a reference to the Corporation or to the record kept in relation thereto under the last preceding sub-paragraph, and any reference to a registered holder of any stock or to his registered address shall be construed accordingly.

Certificates of securities.

23. As from the date of transfer or the conversion date, as the case may be, the stock or share certificate or other similar document relating to any securities to which Part I or Part II, as the case may be, of the Fourth Schedule to this Act applies and in force immediately before that date shall be treated as applicable to so much of the stock as is attributable to the securities to which the said certificate or other document relates until a stock certificate is issued with respect to that stock.

Surrender of certificates, etc.

24. Every person who on the date of transfer or the conversion date, as the case may be, becomes the holder of British Iron and Steel Stock instead of securities to which Part I of the Fourth Schedule to this Act applies or, as the case may be, instead of rights in respect of securities to which Part II of that Schedule applies or the successor in title of any such holder shall, before the issue of the stock certificate in respect of the stock to which he is entitled, surrender to the Corporation the stock or share certificate or other similar document in force immediately before that date in relation to those securities or, as the case may be, those rights:

Provided that the Corporation may authorise the issue of a stock certificate in a case where any such certificate or document cannot be surrendered on such terms as to evidence and indemnity as the Corporation may require.

Declarations and directions made or given before date of transfer or conversion date.

25.—(1) Where before the date of transfer or the conversion date, as the case may be, there has been furnished to the body or person responsible for making payment of any interest, dividends or redemption moneys due in respect of any securities to which Part I or Part II, as the case may be, of the Fourth Schedule to this Act applies, a declaration (whether statutory or not) that any such securities form part of a trust the execution of which is governed by the law of Scotland, that declaration shall be taken to extend to the stock attributable to those securities and provisions (*a*) to (*d*) of sub-paragraph (2) of paragraph 20 of this Schedule shall apply in relation to such stock as they apply in relation to stock in respect of which a statutory declaration has been furnished to the registrar under the said sub-paragraph (2).

(2) Where before the date of transfer or the conversion date, as the case may be, there has been furnished to such body or person as is mentioned in the preceding provisions of this paragraph a direction in writing that any interest or dividends accruing due in respect of any such securities shall be paid to any person, that direction shall be taken to extend to the payment of interest on the stock

attributable to those securities, and sub-paragraph (1) of paragraph 16 of this Schedule shall apply to the payment of interest on such stock as it applies to the payment of interest on stock in respect of which a direction has been given to the registrar under the said sub-paragraph (1).

7TH SCH. —*cont.*

Miscellaneous

Application of practice of Bank of England.

26. Subject to the provisions of this Schedule, if the registrar is the Bank of England, the Bank may apply their general practice in relation to the management of the stock.

Registration fees.

27. Except as otherwise provided by the conditions on which any stock is issued, the registrar shall be entitled to charge such fee, not exceeding two shillings and six pence, as the Corporation may from time to time determine as a condition of the registration of each one of the following matters, that is to say:—

(*a*) any transfer;

(*b*) probate of a will, letters of administration of an estate, or confirmation as executor;

(*c*) certified copy of probate of a will or letters of administration of an estate granted by any court in the Isle of Man or in any of the Channel Islands having authority to grant probate or letters of administration;

(*d*) change of name;

(*e*) power of attorney;

(*f*) order of court;

(*g*) any other document affecting the registration of stock.

If any such registration affects more than one class of stock, a separate fee may be charged (except as aforesaid) in respect of each class.

Application of certain Acts.

28.—(1) All stock shall be deemed capital stock of a company or society within the meaning of the Forgery Act, 1913.

(2) Section one of the Forged Transfers Act, 1891 (except subsection (3) of that section) as amended by section three of the Forged Transfers Act, 1892, shall apply to the Corporation in relation to the stock.

(3) The Corporation, so far as their functions under this Schedule are concerned, and the registrar shall each be deemed to be a banker within the meaning of the Bankers' Books Evidence Act, 1879.

Arrangement with bankers.

29. The Corporation may, subject to the provisions of this Schedule, make any arrangement with and provide for the proper remuneration (including the payment of underwriting commission, brokerage and other expenses) of any person approved by the Minister and the Treasury, with respect to the issue of stock, the registration and transfer thereof, the payment of interest thereon, the keeping of books, and any other matters incidental to the issue, management, redemption and payment off of stock.

7TH SCH. —*cont.*

Protection of holders of stock.

30. A person taking or holding any stock shall not be concerned to inquire or to take notice whether or not the Corporation or any meeting thereof was properly constituted or convened, or whether or not the proceedings at any meeting of the Corporation were legal or regular, or to see to the application of any money raised by any stock or be answerable for any loss or misapplication thereof.

Annual return to the Minister.

31.—(1) The Corporation shall annually send to the Minister an abstract of their accounts (made up to the thirty-first day of December in each year, or such other date as the Minister may direct) relating to every class of stock, and of the Redemption Fund Accounts in respect thereof, in such form as the Minister may direct.

(2) If by any such abstract or otherwise it appears to the Minister that the Corporation have failed to comply with any requirement of this Schedule or with any direction or requirement of the Minister thereunder or with any of the terms on which any stock was issued, with respect to any payment, application or investment or otherwise in relation to any stock, or any Redemption Fund Account, the Minister may by direction require the Corporation to make good the default within the time specified in the direction.

Directions of the Minister.

32. Any direction given by the Minister under this Schedule may contain such provisions as the Minister thinks necessary or expedient for giving effect thereto.

Savings for certain restrictions.

33.—(1) So long as the borrowing or raising of money in Great Britain without the consent of the Treasury is prohibited by the provisions of an order made under the Borrowing (Control and Guarantees) Act, 1946, nothing in this Schedule shall be taken as authorising the exercise of a statutory borrowing power by the Corporation without the specific consent of the Treasury given under those provisions.

(2) Nothing in this Schedule shall be taken as relieving the Corporation of any obligations imposed by the provisions of the Exchange Control Act, 1947.

Interpretation

Interpretation.

34.—(1) In this Schedule, unless the context otherwise requires, the following expressions shall have the meanings hereby respectively assigned to them, that is to say:—

" conversion date " has the same meaning as in Part II of the Fourth Schedule to the Act;

" Interest Account " means such an Account as is referred to in paragraph 14 of this Schedule;

" prescribed period " means:—

(*a*) in relation to any stock issued for the purpose of satisfying any right to compensation which under any provision of this Act is to be satisfied by the issue of stock or any stock belonging to the same group of stock, the period of ninety years from the date on which the first mentioned stock was issued; and

7TH SCH. —*cont.*

(*b*) in relation to any other stock, the period determined by the Minister with the approval of the Treasury, within which provision is required to be made by the Corporation for the replacement of moneys borrowed (including moneys deemed to have been borrowed for the purposes of section thirty-two of this Act, and where the stock is issued at a price lower than the amount payable on redemption, the difference between the price of issue and the amount payable on redemption) by the issue of that stock and any stock belonging to the same group of stock;

"Redemption Fund Account" means such an Account as is referred to in paragraph 3 of this Schedule;

"the registrar" has the meaning assigned to it by sub-paragraph (1) of paragraph 8 of this Schedule;

"statutory borrowing power" means any power of the Corporation to borrow money by the issue of stock;

"statutory security" means any security in which trustees are for the time being authorised by law to invest trust money and any security of any county council or other local authority as defined in section thirty-four of the Local Loans Act, 1875, or section four of the Local Authorities Loans (Scotland) Act, 1891, as amended by section five of the Local Authorities Loans (Scotland) Act, 1891, Amendment Act, 1893, other than securities issued by the Corporation and annuities, rent charges and securities transferable by delivery;

"stock" means British Iron and Steel Stock created by the Corporation under this Act;

"stock certificate" has the meaning assigned to it by sub-paragraph (1) of paragraph 10 of this Schedule;

"the stock register" has the meaning assigned to it by sub-paragraph (1) of paragraph 9 of this Schedule.

(2) For the purposes of this paragraph, different issues of stock (whether of the same class or not) shall be deemed to constitute a group of stock if, as between any two of them, the one is issued for the purpose of redeeming the other or the one is redeemed by the proceeds of the issue of the other, and references to any stock belonging to the same group of stock shall be construed accordingly.

EIGHTH SCHEDULE

MATTERS TO BE EXPRESSLY STATED IN AUDITORS' REPORT

Section 38.

1. Whether they have obtained all the information and explanations which to the best of their knowledge and belief were necessary for the purposes of their audit.

2. Whether, in their opinion, proper books of account have been kept by the Corporation, so far as appears from their examination of those books, and proper returns adequate for the purposes of their audit have been received in respect of books of account not examined by them.

8TH SCH. —*cont.*

3. Whether the statement of the accounts of the Corporation prepared under Part IV of this Act is in agreement with the said books of account and returns, and whether, in their opinion and to the best of their information and according to the explanations given them, the said statement gives a true and fair view of the state of the Corporation's affairs as at the end of their financial year, and of the profit or loss for their financial year.

4. Whether, in their opinion, the consolidated statement of accounts prepared by the Corporation under Part IV of this Act gives a true and fair view of the state of affairs and profit or loss of the Corporation and the publicly-owned companies dealt with thereby.

Section 50.

NINTH SCHEDULE

MODIFICATIONS AS TO CONSTITUTION AND PROCEEDINGS OF PUBLICLY-OWNED COMPANIES

Private companies

1. A publicly-owned company shall, notwithstanding that it satisfies the conditions specified in section twenty-eight of the Companies Act, 1948, not be deemed to be a private company for the purposes of that Act:

Provided that where a company, on coming into public ownership, would be required in consequence of this paragraph to have an additional director, that requirement shall not take effect until three months after the company comes into public ownership.

Meetings

2. Notwithstanding anything in section one hundred and thirty-four of the Companies Act, 1948, or the company's articles of association, the Corporation may call a meeting of a publicly-owned company, and there shall be deemed to be a quorum present at any meeting of such a company at which the Corporation is represented.

3. In the case of any publicly-owned company all of whose securities are held by the Corporation, the obligation of a company under the Companies Act, 1948, or under the company's articles of association or otherwise to hold an annual meeting may be discharged by the holding of a meeting of the Corporation summoned and held in such manner, and after such notice, as may be determined by the Corporation in regulating their procedure, and any power of a company which is by the Companies Act, 1948, or by the company's articles of association or otherwise required to be exercised by the company in general meeting (including a power required to be so exercised by special resolution, extraordinary resolution or a resolution requiring special notice), may be exercised by the Corporation at a meeting summoned and held as aforesaid:

Provided that—

(*a*) where any power is exercised by a publicly-owned company in a case where, apart from this paragraph, special notice would be required and a copy of the notice would have to be sent to any person, the publicly-owned company shall give notice in writing to that person not less than twenty-eight days before exercising that power ; 9TH SCH. —*cont.*

(*b*) section one hundred and forty-three of the Companies Act, 1948 (which provides for the registration of certain resolutions and agreements) shall apply to any resolution of a publicly-owned company which, but for this paragraph, would be a resolution to which that section applied ;

(*c*) subsection (4) of section one hundred and sixty-two of the said Act (which entitles auditors of a company to attend and be heard at general meetings of the company and to receive notice thereof) shall apply to meetings of the Corporation held for the purpose of exercising their powers under this paragraph with respect to the affairs of a publicly-owned company.

Directors

4. Any provision in the memorandum or articles of association of a publicly-owned company requiring a director to hold a specified share qualification shall not have effect in the case of a publicly-owned company.

5. The power conferred on a company by section one hundred and eighty-four of the Companies Act, 1948, to remove a director before the expiration of his period of office notwithstanding anything in its articles of association or in any agreement between it and him, shall, in the case of a publicly-owned company, be extended so as to be exercisable notwithstanding anything in any agreement between the company and any person other than the director, and the proviso to subsection (1) of that section (which contains a saving for directors of private companies holding office for life on the eighteenth day of July, nineteen hundred and forty-five) shall not apply to directors of publicly-owned companies.

Alteration of memorandum

6. A publicly-owned company shall not, without the consent in writing of the Minister, so alter the provisions of its memorandum of association or, as the case may be, charter of incorporation or other charter as to increase the activities which it is authorised to carry on.

7. The power conferred by subsection (1) of section twenty-three of the Companies Act, 1948 (which provides that a company may alter by special resolution any conditions contained in its memorandum which could lawfully have been contained in articles of association instead of in the memorandum) shall, in the case of a publicly-owned company, not be subject to the provisions of subsection (2) of the said section twenty-three (which provides that that section shall not apply where the memorandum itself provides for or prohibits the alteration of all or any of the said conditions and shall not authorise any variation or abrogation of the special rights of any class of members).

9TH SCH —*cont.*

Reduction of capital

8. The power conferred by section sixty-six of the Companies Act, 1948, on a company to reduce its share capital may, in the case of a publicly-owned company, be exercised by ordinary resolution, and any reduction so made shall not be subject to confirmation by the court, and in any such case—

(*a*) section sixty-nine of the Companies Act, 1948, shall apply with the modification that for any reference to an order of the court confirming the reduction of the share capital of a company there shall be substituted a reference to a copy of the resolution of the company for reducing its share capital and for the reference to a minute approved by the court showing the particulars mentioned in that section there shall be substituted a reference to a minute showing those particulars to the satisfaction of the registrar of companies;

(*b*) subsections (3) and (4) of the said section sixty-nine shall not apply, but notice of the registration of the resolution by the registrar of companies shall be published in the London and Edinburgh Gazettes and the registrar shall certify under his hand the registration of the resolution, and his certificate shall be conclusive evidence that the share capital of the company is such as is stated in the resolution; and

(*c*) sections sixty-seven, sixty-eight, seventy and seventy-one of the Companies Act, 1948, shall not apply.

Number of members

9. No petition shall be presented for the winding-up of a publicly-owned company on the ground that the number of its members is less than the number required by law, nor shall any person be liable on that ground as a member of the company for the payment of any of its debts.

10. In this Schedule the expressions "special resolution", "extraordinary resolution" and "special notice" have the same meanings as in the Companies Act, 1948.

Table of Statutes referred to in this Act

Short Title.	Session and Chapter.
Local Loans Act, 1875	38 & 39 Vict. c. 83.
Bankers' Books Evidence Act, 1879	42 & 43 Vict. c. 11.
Bills of Exchange Act, 1882	45 & 46 Vict. c. 61.
Local Authorities Loans (Scotland) Act, 1891 ...	54 & 55 Vict. c. 34.
Forged Transfers Act, 1891	54 & 55 Vict. c. 43.
Forged Transfers Act, 1892	55 & 56 Vict. c. 36.
Local Authorities Loans (Scotland) Act, 1891, Amendment Act, 1893	56 & 57 Vict. c. 8.
Public Authorities Protection Act, 1893	56 & 57 Vict. c. 61.
Patents and Designs Act, 1907	7 Edw. 7. c. 29.
Forgery Act, 1913	3 & 4 Geo. 5. c. 27.
Acquisition of Land (Assessment of Compensation) Act, 1919	9 & 10 Geo. 5. c. 57.